



## 2026 US Securitized Credit Mid-Year Outlook

### More Pictures and Fewer Words

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## Macroeconomic Forecast Table

| <b>Economic Forecasts</b> | <b>2025</b> | <b>2026E</b>    | <b>2027E</b>    |
|---------------------------|-------------|-----------------|-----------------|
| Real GDP (%Y)             | 2.0%        | 2.3%            | 2.6%            |
| CPI (%Y)                  | 2.7%        | 3.4%            | 2.0%            |
| Core PCE (%Y)             | 2.9%        | 2.8%            | 2.3%            |
| Policy Rate               | 3.625%      | 3.625%          | 3.125%          |
| Unemployment Rate         | 4.5%        | 4.3%            | 4.1%            |
| <b>Housing Forecasts</b>  | <b>2025</b> | <b>2026E</b>    | <b>2027E</b>    |
| HPA                       | 1%          | 2%              | 2%              |
| EHS                       | 1%          | 0%              | 3%              |
| NHS                       | -1%         | -1%             | 6%              |
| <b>Macro Forecasts</b>    | <b>Spot</b> | <b>4Q 2026E</b> | <b>2Q 2027E</b> |
| 10Y                       | 4.36%       | 4.25%           | 4.20%           |
| S&P                       | 7,399       | 8,000           | 8,300           |
| USD/JPY                   | 157         | 157             | 156             |
| IG Corporates             | 77          |                 | 90              |
| HY Corporates             | 266         |                 | 275             |

Source: Morgan Stanley Research forecasts

# Morgan Stanley 2Q27 Spread and Excess Return Forecasts Across Securitized Credit

| Product               | Current | Spreads |      |      | Excess Returns |      |        |
|-----------------------|---------|---------|------|------|----------------|------|--------|
|                       |         | Bull    | Base | Bear | Bull           | Base | Bear   |
| YoY HPA Forecast      |         |         |      |      | 4.0%           | 2.0% | -2.0%  |
| Agency MBS Index OAS  | 19      | 15      | 20   | 40   | 0.4%           | 0.1% | -1.1%  |
| Non-QM AAA            | 125     | 95      | 120  | 175  | 1.9%           | 1.4% | 0.2%   |
| Non-QM BBB            | 195     | 150     | 185  | 290  | 3.7%           | 2.3% | -1.8%  |
| Prime Auto AAA        | 35      | 15      | 25   | 55   | 0.9%           | 0.6% | -0.2%  |
| Subprime Auto AAA     | 45      | 30      | 55   | 100  | 0.7%           | 0.3% | -0.4%  |
| Subprime Auto BBB     | 115     | 100     | 140  | 225  | 1.7%           | 0.2% | -2.9%  |
| Fiber A               | 145     | 120     | 140  | 180  | 2.7%           | 1.7% | -0.3%  |
| Data Center A         | 180     | 150     | 175  | 225  | 3.3%           | 2.1% | -0.5%  |
| CMBS AAA Secondary    | 71      | 60      | 75   | 110  | 1.8%           | 0.3% | -3.2%  |
| CMBS BBB- Secondary   | 465     | 390     | 470  | 750  | 12.2%          | 4.2% | -23.9% |
| Agency CMBS KA2       | 30      | 25      | 30   | 50   | 0.8%           | 0.3% | -1.5%  |
| US CLO AAA Primary    | 123     | 108     | 120  | 175  | 2.1%           | 1.4% | -1.6%  |
| US CLO BB Primary     | 535     | 440     | 580  | 800  | 14.4%          | 1.1% | -19.8% |
| UK Prime Senior       | 50      | 40      | 48   | 65   | 0.8%           | 0.6% | 0.1%   |
| UK NC Senior          | 80      | 70      | 75   | 90   | 1.2%           | 1.0% | 0.5%   |
| EU CLO Primary Senior | 128     | 118     | 125  | 160  | 1.8%           | 1.4% | -0.5%  |

Source: Bloomberg, Morgan Stanley Research forecasts

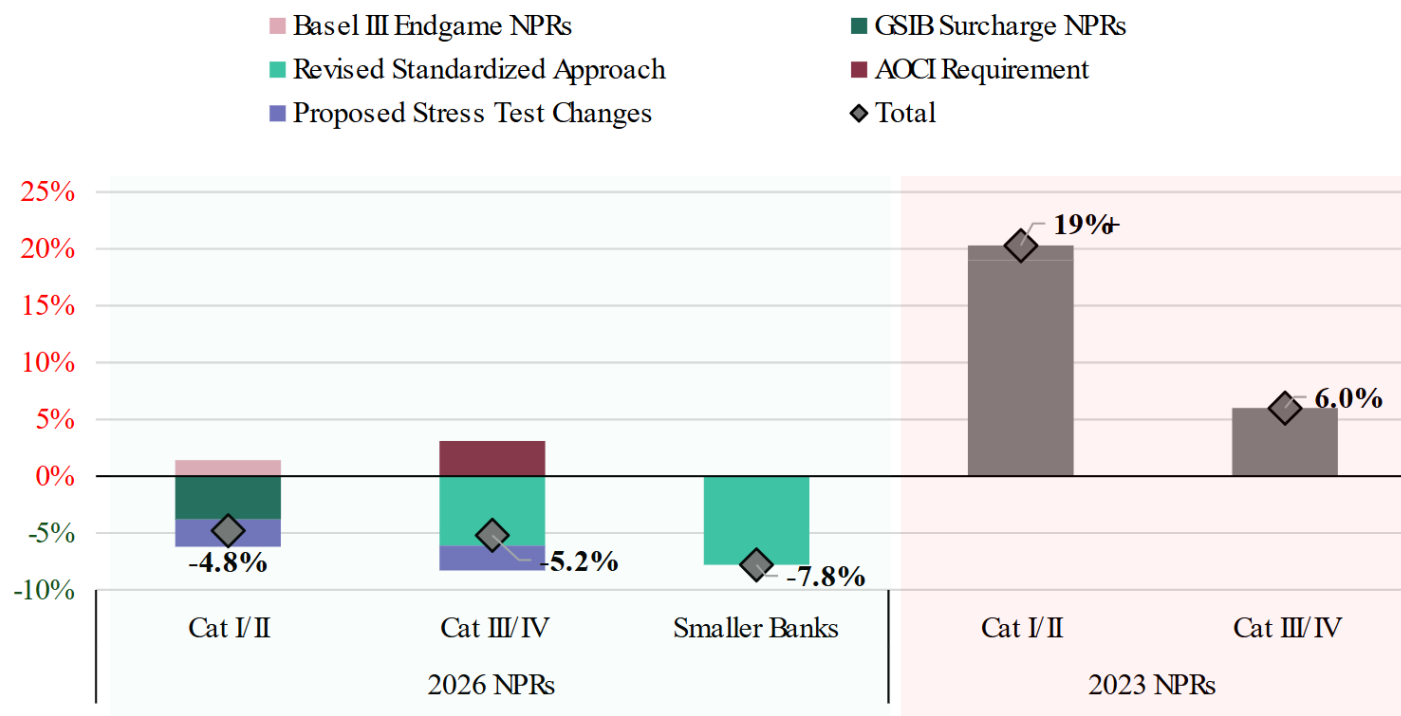
## Alternative Economic Scenarios

| 1: Aggregate demand upside                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 2: AI productivity boost with labor displacement                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 3: Permanent oil premium                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 4: A global recession                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>The oil shock abates, and elevated wealth and improving confidence support consumption and keep business spending elevated.</p> <p>Stronger demand also results in tighter labor markets. Inflation pressures step up as stronger demand keeps price pressures elevated.</p> <p>The Fed eventually raises rates, but only once it is clear that the stronger growth is coming from demand rather than productivity. It begins hiking in 4Q26, delivering 100bp of hikes to bring the policy rate to 4.50-4.75%.</p> | <p>Cautious businesses continue to expand output at about the same pace in 2027 as in 2026, but higher productivity allows layoffs. The unemployment rate rises to 4.5% by the end of 2026 and 4.8% by the end of 2027.</p> <p>Weaker employment spills into softer consumer spending, in turn discouraging business investment and hiring.</p> <p>With more labor market slack, core inflation slows decisively in late 2026. The Fed begins lowering rates at the start of 2027; three cuts take the funds rate to 2.875%.</p> | <p>Oil prices remain above \$100/bbl through 2027. Prices weigh on consumption for longer, but AI capex remains robust; real GDP rises 2.0% in 2026 and 2.4% in 2027, slightly below the base case.</p> <p>Labor demand is slightly softer as well, though the unemployment rate remains low.</p> <p>A more prolonged oil shock means more supply-chain pressures and further passthrough to core inflation.</p> <p>Persistent inflation keeps the Fed cautious. The Fed keeps the target range unchanged at 3.50-3.75% through 2027.</p> | <p>A sharp rise in oil prices to \$140-160/bbl through 3Q 2026 triggers supply shortages and demand destruction, pushing the economy into a mild recession.</p> <p>Inflation surges in the near term. Real consumer spending falls, and businesses pull back on investment and hiring.</p> <p>Payrolls decline throughout 2026, and the unemployment rate rises to a peak of 5.5% this year. The Fed delivers 200bps of cuts in 2026, lowering rates 1.50-1.75%, although there is no QE.</p> <p>As growth recovers in 2027 and inflation stabilizes, the Fed hikes by 100bp to a target range of 2.50-2.75%.</p> |

## Bank Demand Is Supported by Deregulation

The 2026 Basel Endgame proposal unlocked excess capital banks had been holding to satisfy the 2023 proposal, improving bank portfolio capacity to net add investment securities

Aggregate CET1 Capital Requirement Impacts



Note: NPR = Notice of Proposed Rulemaking. Inclusive of the recent changes to eSLR, capital requirements for Cat I/II banks go down by 6%; Source: Federal Reserve, Morgan Stanley Research

## US Housing

Nowhere to Go But Up...

## ...But That Route Seems to be Under Construction

|                       | Percent Change |       |       |       | Actual Values |        |        |        |
|-----------------------|----------------|-------|-------|-------|---------------|--------|--------|--------|
|                       | 2024a          | 2025a | 2026e | 2027e | 2024a         | 2025a  | 2026e  | 2027e  |
| HPA                   | 4%             | 1%    | 2%    | 2%    |               |        |        |        |
| Existing Home Sales   | -1%            | 1%    | 0%    | 3%    | 4.06mm        | 4.08mm | 4.10mm | 4.25mm |
| New Home Sales        | 3%             | -1%   | -1%   | 6%    | 685k          | 679k   | 675k   | 715k   |
| 1-Unit Housing Starts | 7%             | -7%   | 1%    | 3%    | 1016k         | 942k   | 950k   | 980k   |

Source: Morgan Stanley Research estimates

### Affordability

With 10yr Treasuries stuck above 4.15, our affordability assumptions estimates assume a 30yr mortgage rate that finishes 2026 at ~6¼ before ending 2027 at ~6⅛. Affordability improves over the forecast horizon as income growth exceeds HPA, but it remains near the most challenged it has been in decades.

### Housing Activity

The combination of challenged affordability and geopolitical uncertainty/volatility should keep home sales range-bound. Meanwhile, accelerating weakness in new home pricing and the stubbornly elevated inventories there should keep building volumes muted.

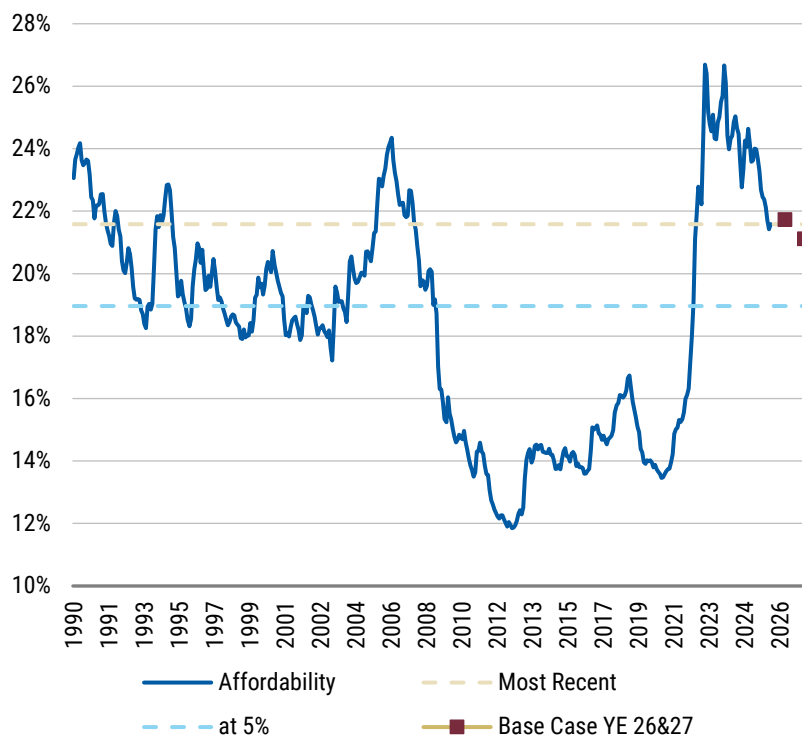
### Home Prices

As inventory growth has outpaced demand, the pace of YoY HPA has decelerated. As we approach 0% nationally, we expect home prices to find a floor. There simply is not enough for-sale inventory to drive meaningfully negative home prices. As mortgage rates languish above 6%, we expect the pace of existing inventory growth to slow, which will allow for a slight acceleration of HPA back to +2% by the end of 2026, where we expect it to stay for 2027.

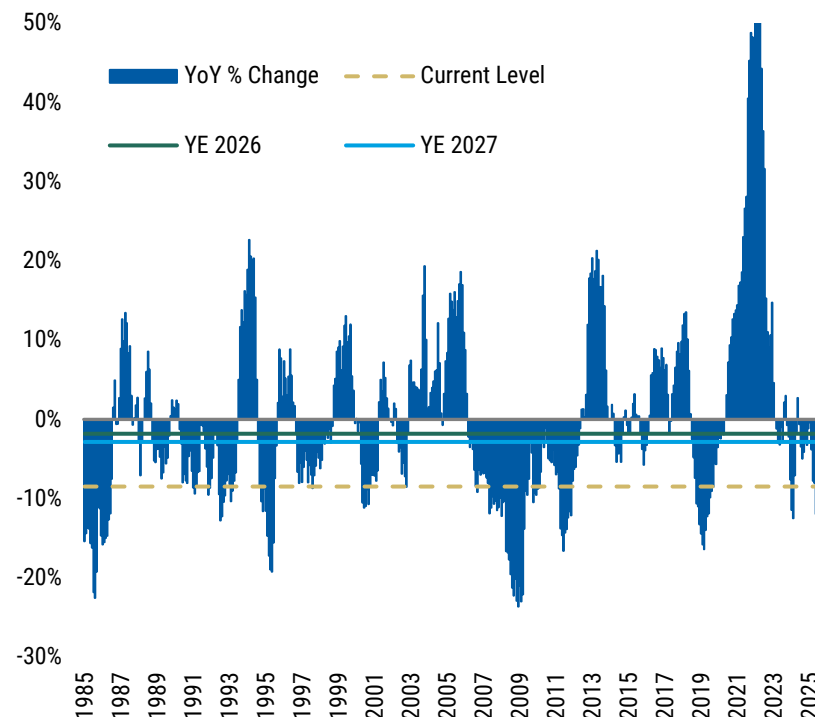
## Affordability to Improve on the Margins, Remain Challenged

With mortgage rates stuck above 6% through the end of 2027, affordability to only improve slightly as income growth outpaces home price growth

### Monthly Payment as % of Income



### Pace of affordability improvement moderates with mortgage rates stuck above 6%

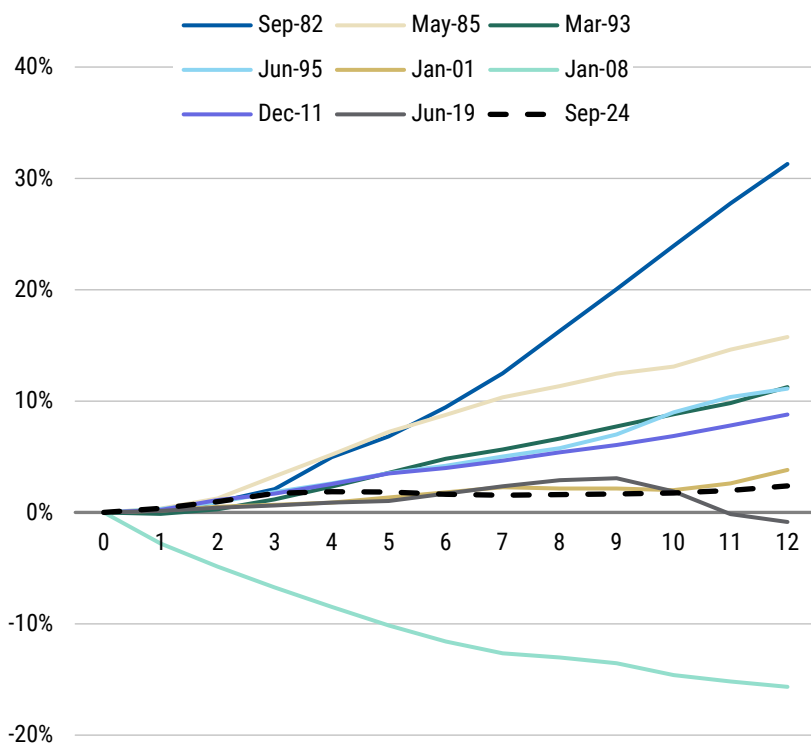


Source: NAR, Freddie Mac, US Census Bureau, Morgan Stanley Research estimates

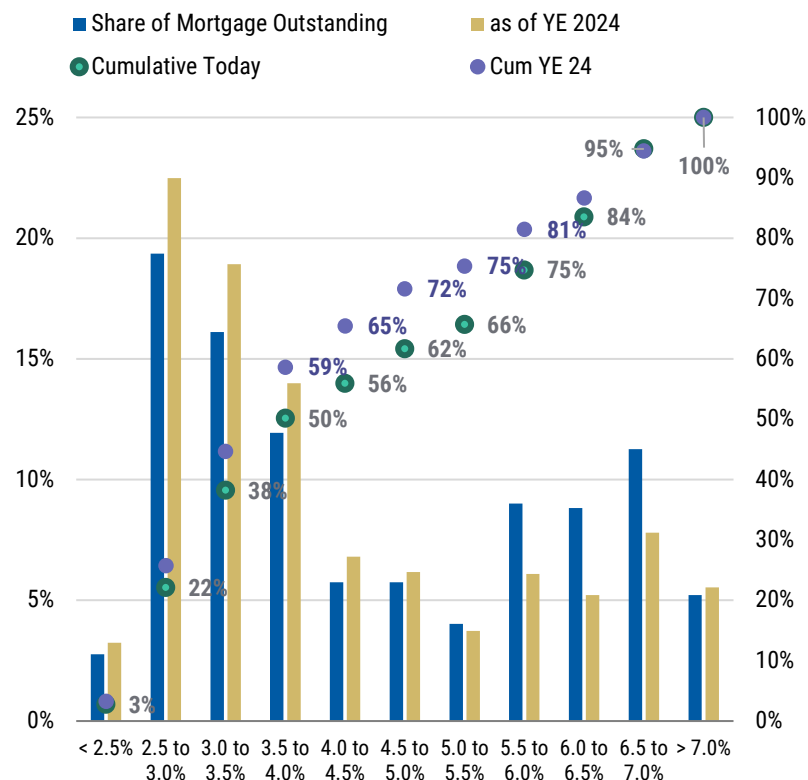
# Improved Affordability in Recent Years Has Not Helped Sales

Existing home sales volumes have materially underperformed prior periods of similar affordability improvement as market remains very locked in

Existing home sales in the 12 months following 10%+ affordability improvements



Outstanding mortgage rate distribution is moving higher...gradually

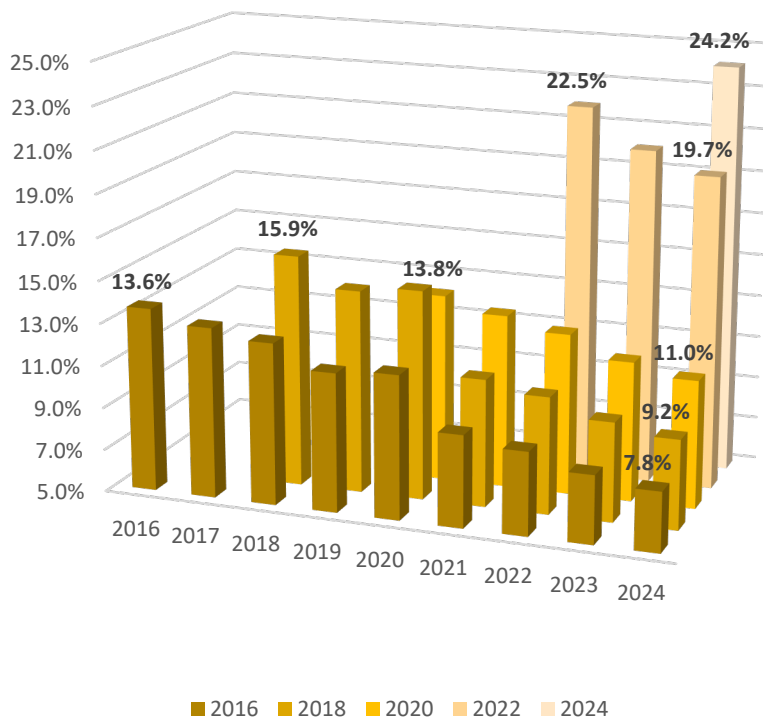


Source: eMBS, NAR, Morgan Stanley Research

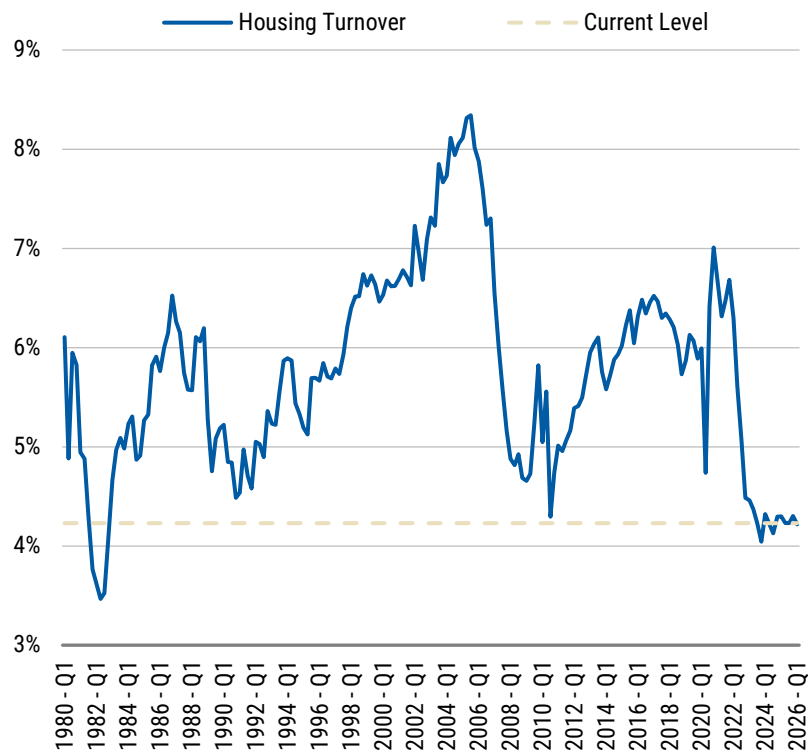
## Locked In at Turnover Floor

For 10 quarters, existing home sales as a percentage of housing stock have been bouncing around ~40yr lows; we expect support at these levels to hold

Median monthly payment as a share of household income based on when the home was purchased



Existing home sales as % of ownership stock at 40+ year lows



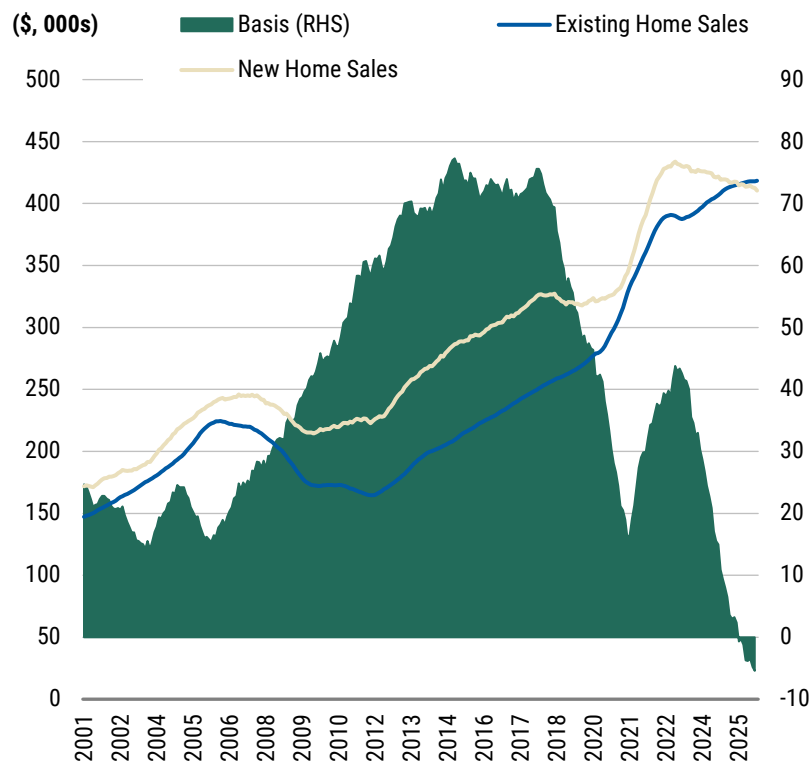
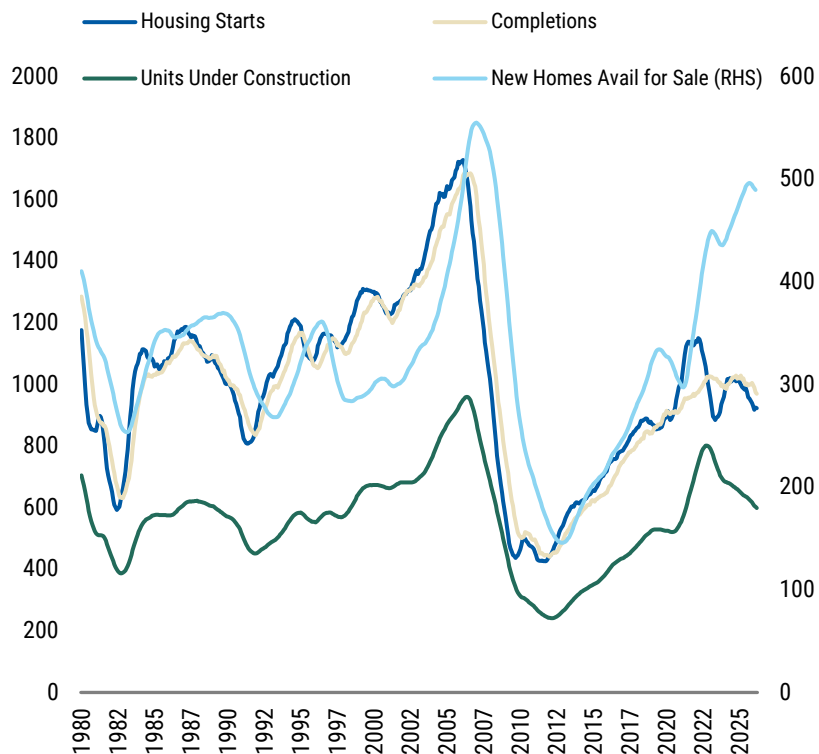
Source: eMBS, NAR, US Census Bureau, Morgan Stanley Research

## The New Home Discount?

Elevated new home inventory has weighed on pricing, with new home prices falling below existing home prices for the first time in the multi-decade history of our data

1-unit construction backlog is clearing while inventory near historical high

New home prices below existing home prices for the first time



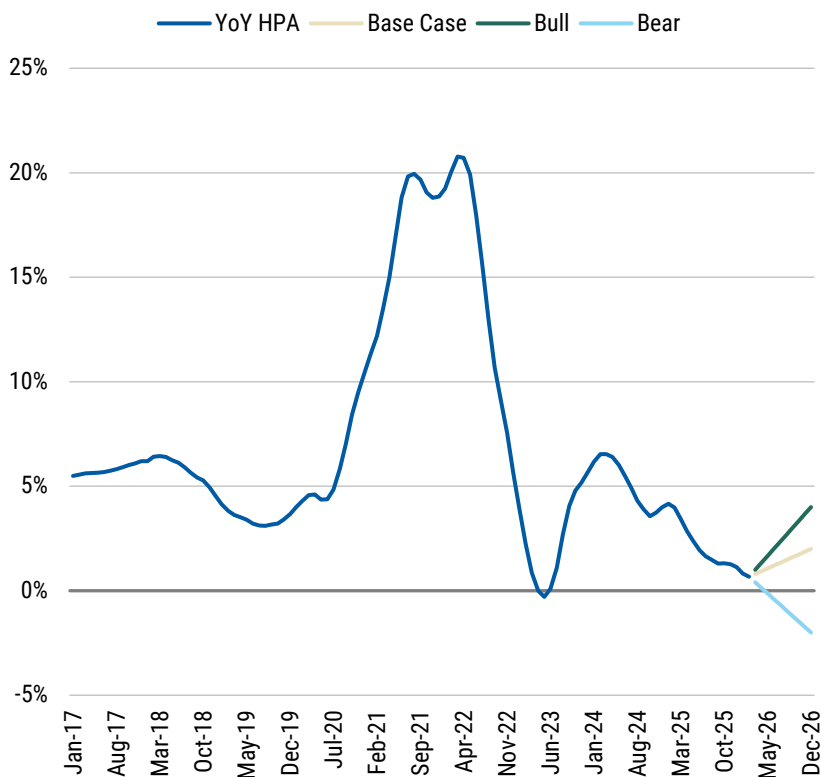
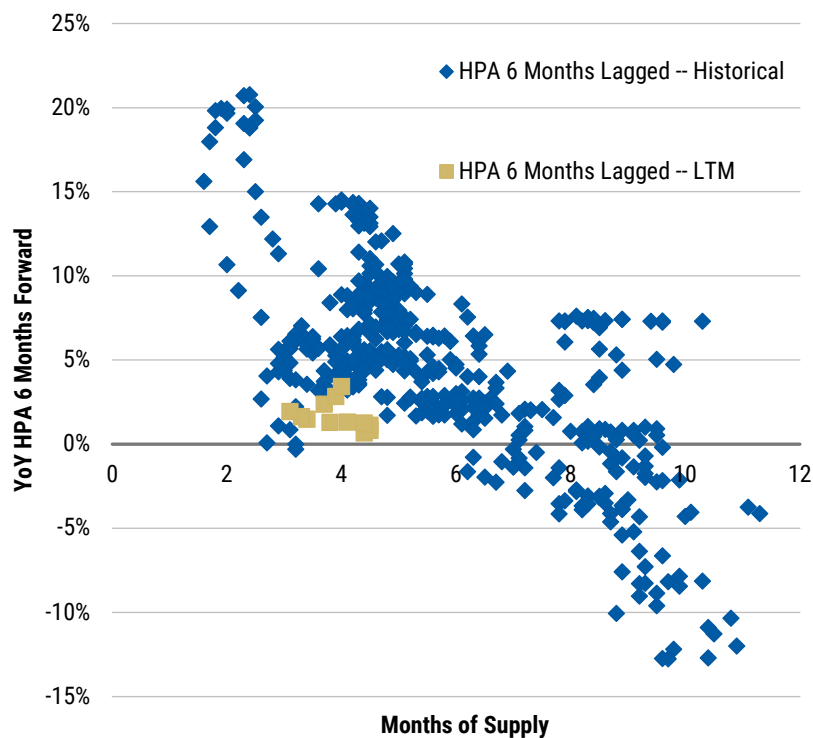
Source: NAR, US Census Bureau, Morgan Stanley Research

## HPA to Increase +2% in 2026 and 2027

HPA has decelerated, but as we approach 0% we expect prices to find a floor. There simply is not enough for-sale inventory to drive meaningfully negative home prices

Months of supply continue to support positive home price trajectory

Home price forecasts



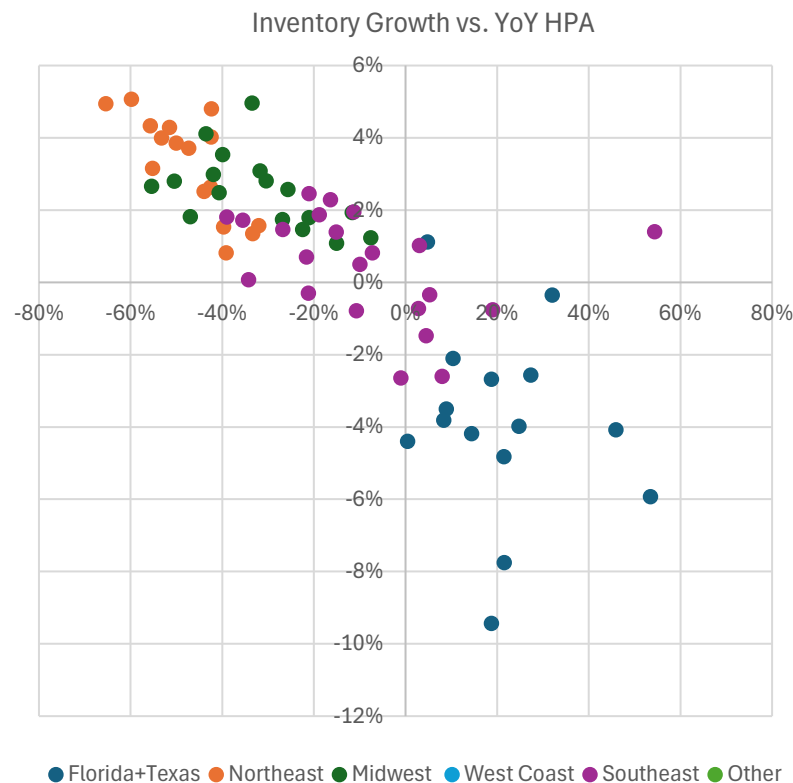
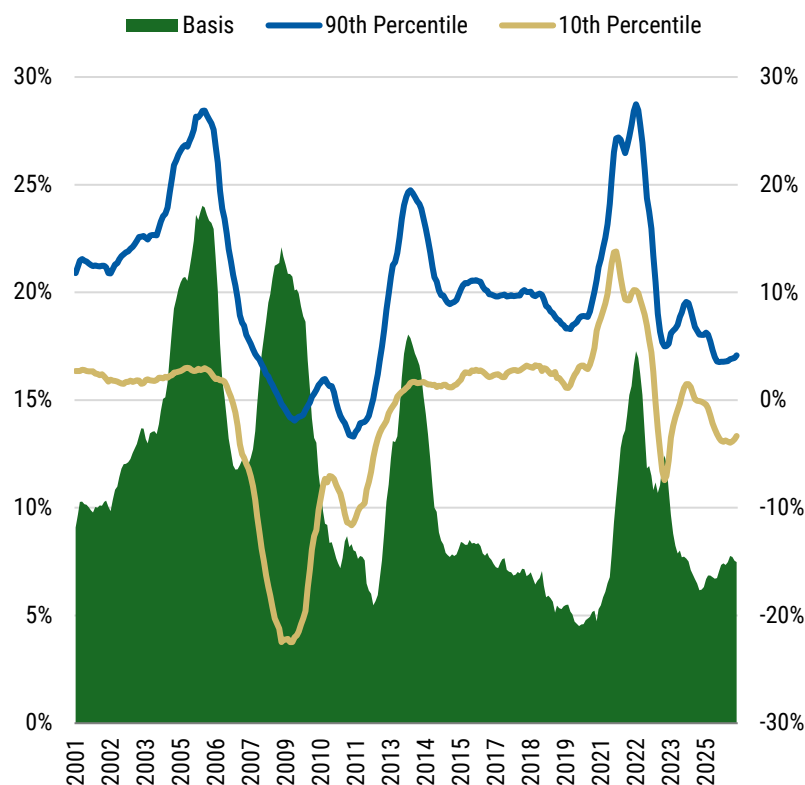
Source: NAR, Case-Shiller, Morgan Stanley Research estimates

## Location, Location, Location

**We expect recent trends to continue with the Northeast and Midwest outperforming our 2% national forecast and Florida underperforming**

**HPA dispersion between top and bottom decile of MSAs increasing in recent months, low vs. past 20 years**

**MSAs with a higher amount of inventory today than in 4Q19 are where home prices are falling YoY**



Source: Zillow, Morgan Stanley Research

## **US Residential Credit**

**Enduring Demand**

## Demand to Remain Resilient in the Face of Record Issuance

| Non-QM Spread Forecasts |         | Spreads |      |      | Excess Returns |      |       |
|-------------------------|---------|---------|------|------|----------------|------|-------|
| Tranche                 | Current | Bull    | Base | Bear | Bull           | Base | Bear  |
| AAA                     | 125     | 95      | 120  | 175  | 1.9%           | 1.4% | 0.2%  |
| BBB                     | 195     | 150     | 185  | 290  | 3.7%           | 2.3% | -1.8% |

### Supply

Through the first four months of 2026, non-agency RMBS issuance is up 45% vs. the same window in 2025. That growth has largely been fueled by two products: Non-QM and 2nd liens/HELOCs. We expect full-year 2026 new issuance volumes to finish at a 2.0 record of \$235bn, up 13% from 2025.

### Dialing In on Delinquencies

While non-agency lending in general, and Non-QM lending in particular, have been making up a growing slice of the total origination pie, we do not think it has been easing lending standards that have driven that share gain. In fact, Non-QM delinquencies in recent vintages have been climbing at a slower pace than they did in 2023. We do not expect materially higher delinquencies over the next 12 months.

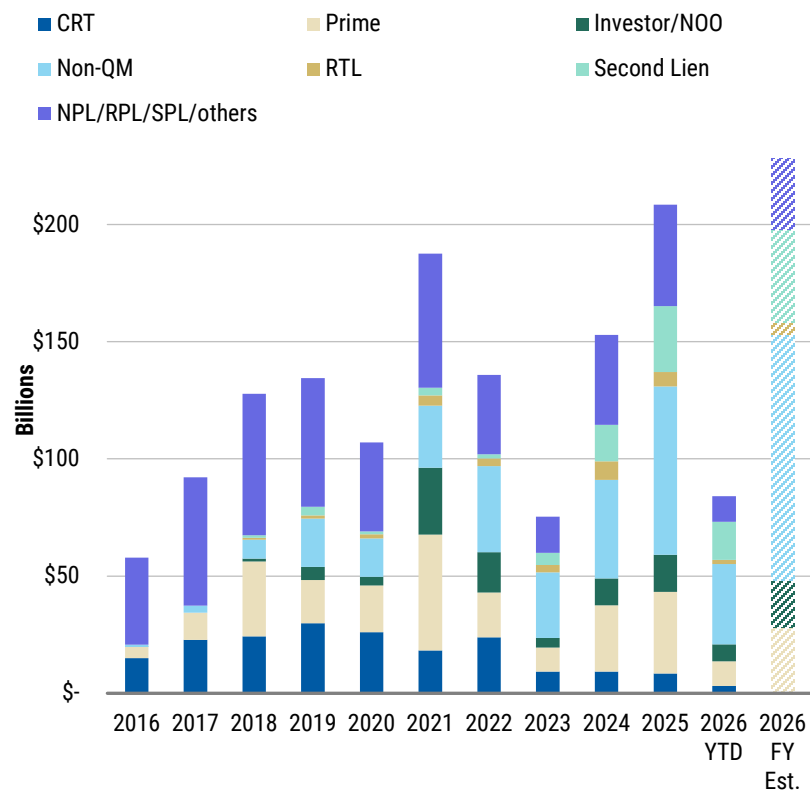
### Find Value in Non-QM

Non-agency RMBS more broadly, and Non-QM in particular, is well aligned with our positive demand narrative. The bid from insurance companies should remain robust in a stubbornly high rate environment, and we expect banks to play a larger role than they have historically given specific benefits to Non-QM from the de-regulatory backdrop. We like Non-QM across the capital structure at today's levels.

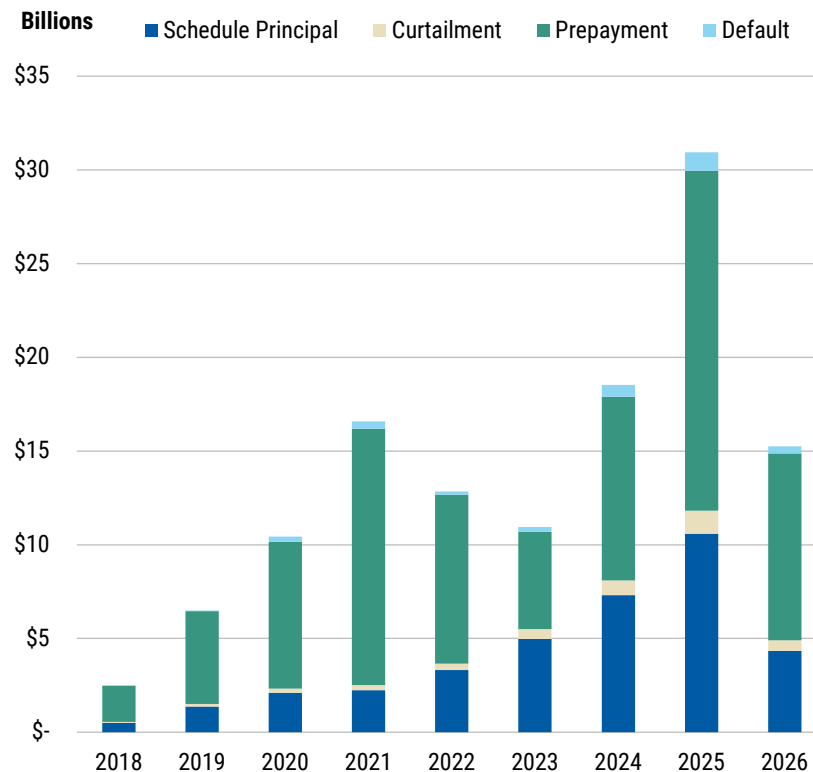
## Elevated Issuance Volumes

**Growth in Residential Credit has been fueled by two products: Non-QM and 2nd liens/HELOCs. We estimate Non-QM +106% and second-lien deals up 200% YoY**

### Non-Agency RMBS issuance forecasted for 2.0 record of \$235bn



### Non-QM paydown evolution, net issuance not as big a technical headwind as gross issuance

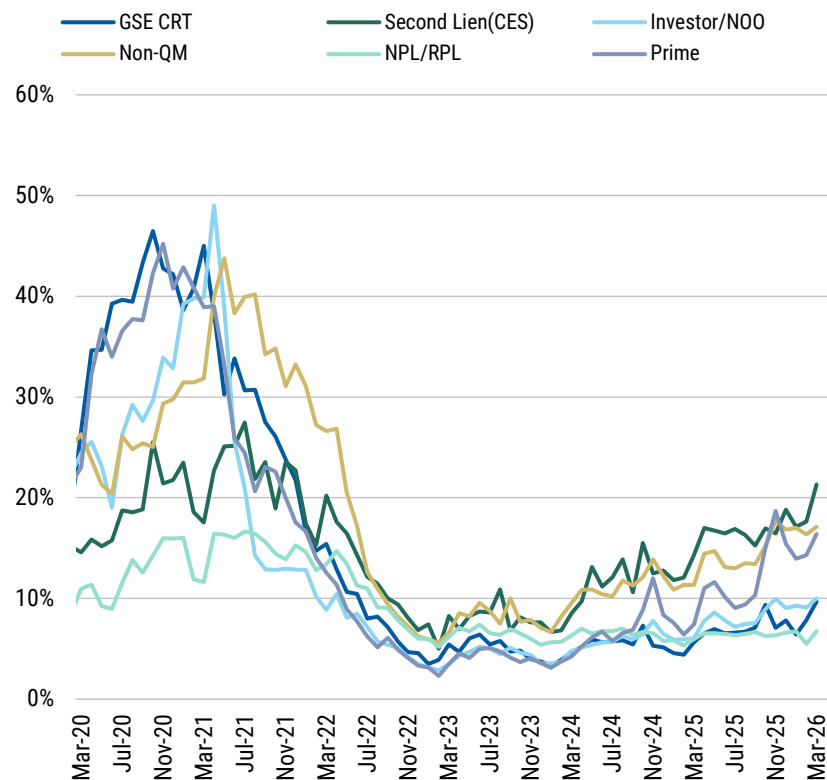


Source: Bloomberg, Morgan Stanley Research

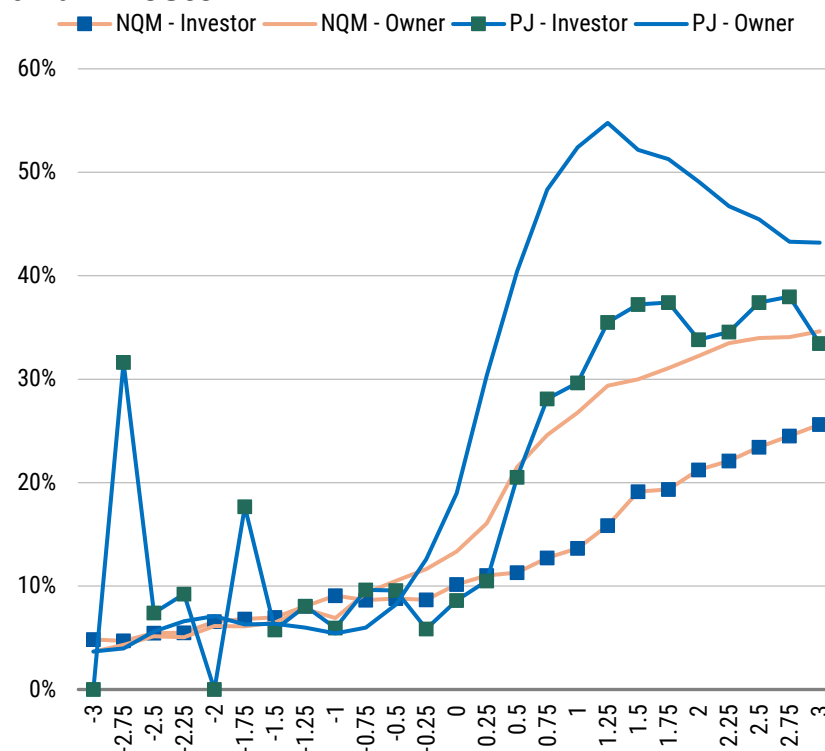
## Prepayment Speeds in Focus

Over the past 12-24 months, we've seen a healthy increase in prepayment speeds for products like Prime Jumbo, Non-QM, and second Liens, while other products like investor deals and RPL have remained much more range-bound

### Prepayment speeds across products



### S-Curve: Non-QM vs. Prime Jumbo aggregate and investor

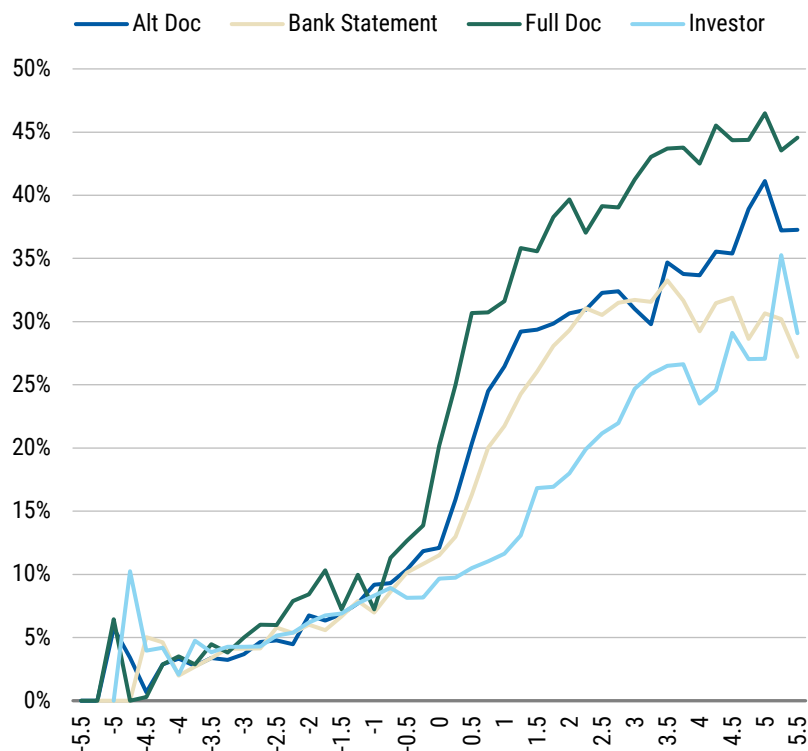


Source: Loan Performance, Morgan Stanley Research

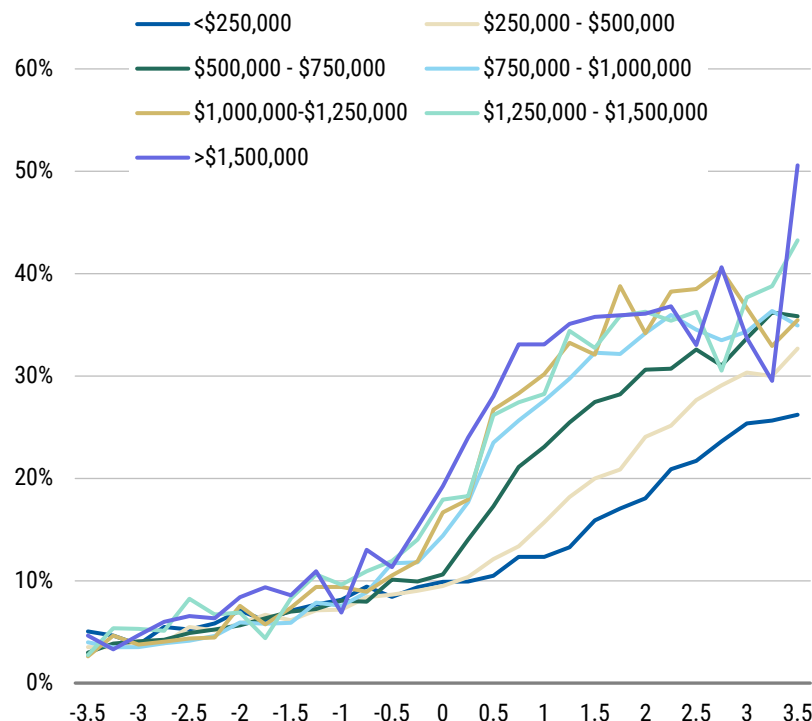
## Consider Convexity

Within Non-QM, there are several other ways to think about evolving convexity profiles. As we think through relative value within Non-QM pools, income documentation and loan balance are two characteristics we'll be paying attention to

**S-Curves – Non-QM by income documentation**



**S-Curves – Non-QM by loan balance**

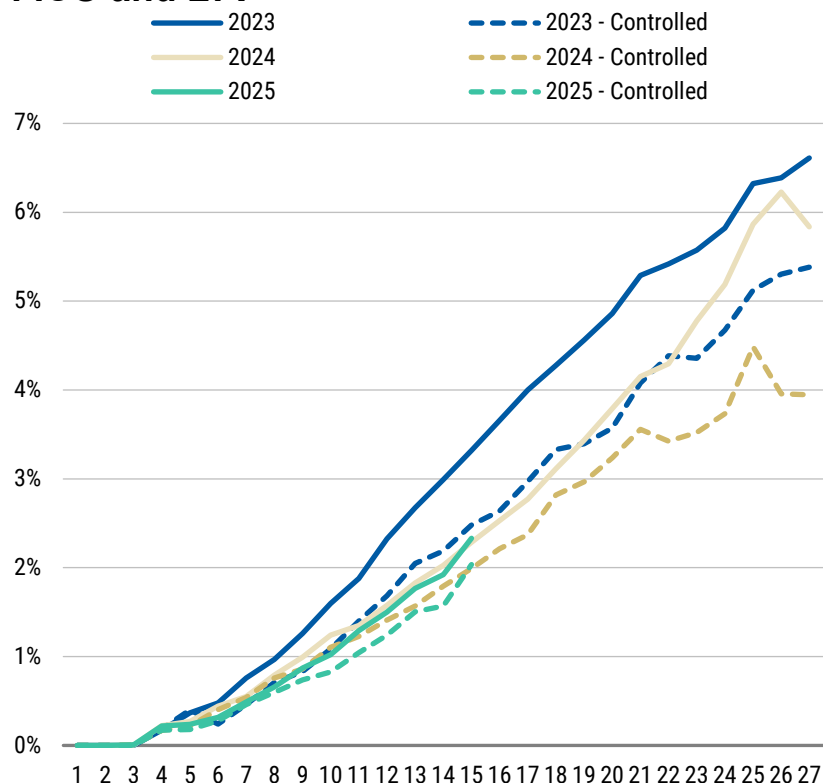


Source: Loan Performance, Morgan Stanley Research

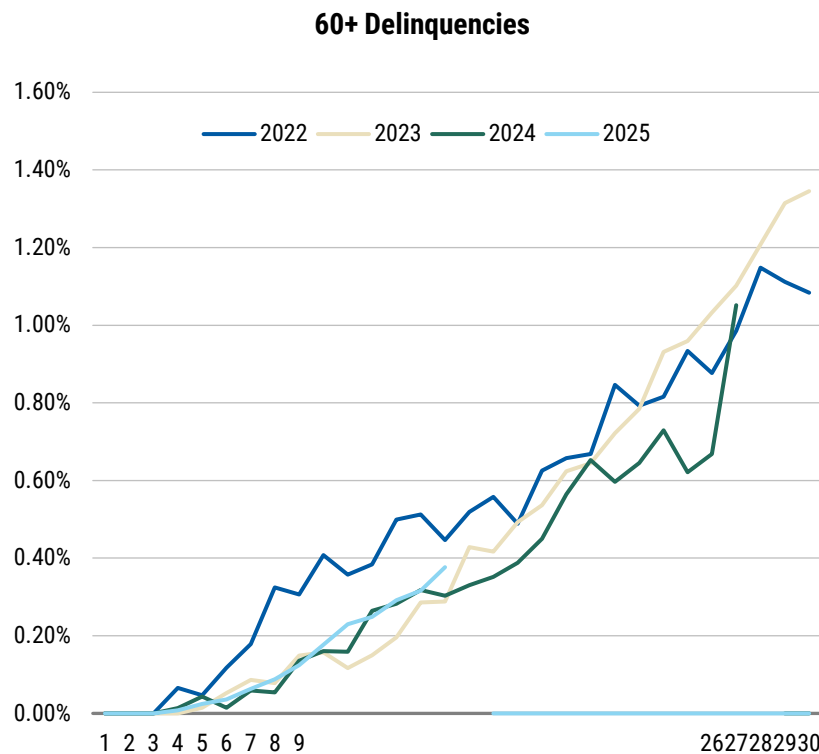
## Discussing Diminishing Delinquencies

Non-QM DQs in recent vintages have been climbing at a slower pace than they did in 2023. Prime Jumbo is seeing a slight increase in 2024 and 2025 DQs compared to 2023 at the 12-month mark, but the absolute level remains exceedingly low

**Non-QM 60+ DQs - vintage and controlled for FICO and LTV**



**Prime Jumbo 60+ DQs by vintage**



Source: Loan Performance, Morgan Stanley Research

Note: Controlled lines include FICO score 720 – 780 and LTV 70-80

## Non-QM Lending Standard Evolution

Within Non-QM, there has been a clear move toward borrowers above 780 and a decrease in the share of mortgages with a down payment less than 20%

| FICO Scores | 2021H1 | 2021H2 | 2022H1 | 2022H2 | 2023H1 | 2023H2 | 2024H1 | 2024H2 | 2025H1 | 2025H2 |
|-------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <600        | 0.20%  | 0.17%  | 0.17%  | 0.27%  | 0.20%  | 0.19%  | 0.15%  | 0.11%  | 0.09%  | 0.08%  |
| 600-660     | 2.79%  | 3.37%  | 3.86%  | 4.55%  | 3.60%  | 3.93%  | 3.17%  | 2.69%  | 2.45%  | 2.32%  |
| 660-720     | 25.62% | 25.34% | 27.26% | 31.67% | 30.42% | 27.77% | 24.32% | 22.68% | 23.32% | 21.53% |
| 720-780     | 49.97% | 50.18% | 49.39% | 47.52% | 47.13% | 48.50% | 49.62% | 49.36% | 48.71% | 48.72% |
| >780        | 21.41% | 20.93% | 19.32% | 15.99% | 18.64% | 19.61% | 22.75% | 25.16% | 25.43% | 27.35% |
| LTVs        |        |        |        |        |        |        |        |        |        |        |
| <70         | 37.62% | 37.18% | 30.69% | 28.90% | 33.32% | 31.58% | 33.99% | 34.17% | 33.91% | 31.93% |
| 70-80       | 34.15% | 32.27% | 34.51% | 33.66% | 35.48% | 33.51% | 33.78% | 33.50% | 34.36% | 33.36% |
| 80          | 16.72% | 17.84% | 21.06% | 23.63% | 23.58% | 25.35% | 24.58% | 25.14% | 24.58% | 25.77% |
| >80         | 11.51% | 12.71% | 13.74% | 13.82% | 7.63%  | 9.56%  | 7.64%  | 7.20%  | 7.15%  | 8.95%  |

Source: Bloomberg, Morgan Stanley Research

# Prime Jumbo Lending Standard Evolution

Prime Jumbo collateral is experiencing a similar transition toward higher FICO scores and away from high LTVs

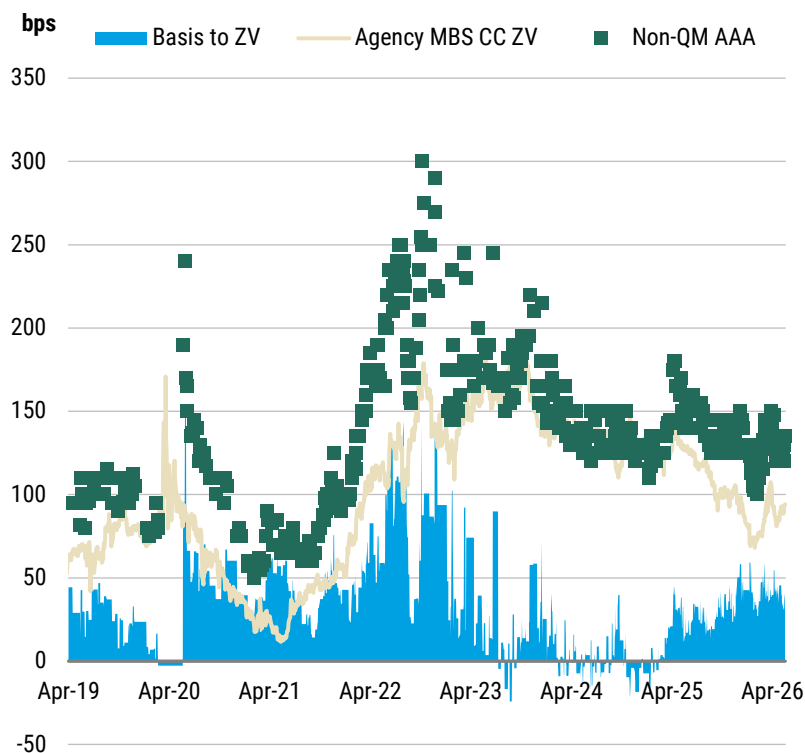
| FICO Scores | 2021H1 | 2021H2 | 2022H1 | 2022H2 | 2023H1 | 2023H2 | 2024H1 | 2024H2 | 2025H1 | 2025H2 |
|-------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <660        | 0.00%  | 0.00%  | 0.00%  | 0.00%  | 0.01%  | 0.04%  | 0.06%  | 0.14%  | 0.00%  | 0.00%  |
| 660-700     | 1.86%  | 3.78%  | 7.07%  | 8.39%  | 1.93%  | 1.48%  | 1.63%  | 1.66%  | 1.88%  | 1.00%  |
| 700-740     | 13.34% | 17.99% | 20.41% | 19.86% | 14.55% | 13.36% | 11.99% | 11.75% | 11.20% | 10.12% |
| 740-780     | 38.68% | 40.69% | 40.54% | 39.96% | 41.23% | 40.56% | 39.22% | 38.53% | 37.34% | 37.36% |
| 780-820     | 45.97% | 37.44% | 31.90% | 31.78% | 42.20% | 44.45% | 46.93% | 47.78% | 49.42% | 51.28% |
| >820        | 0.15%  | 0.10%  | 0.07%  | 0.00%  | 0.09%  | 0.11%  | 0.16%  | 0.14%  | 0.16%  | 0.24%  |
| LTVs        |        |        |        |        |        |        |        |        |        |        |
| <70         | 46.10% | 33.31% | 22.28% | 20.45% | 19.00% | 23.08% | 22.13% | 26.53% | 25.41% | 26.40% |
| 70-80       | 26.47% | 22.82% | 21.71% | 27.85% | 26.45% | 30.08% | 27.80% | 27.11% | 26.29% | 27.98% |
| 80          | 22.98% | 31.78% | 38.07% | 43.48% | 53.69% | 45.90% | 47.10% | 42.96% | 41.68% | 39.32% |
| >80         | 4.45%  | 12.09% | 17.93% | 8.22%  | 0.86%  | 0.93%  | 2.96%  | 3.39%  | 6.62%  | 6.29%  |

Source: Bloomberg, Morgan Stanley Research

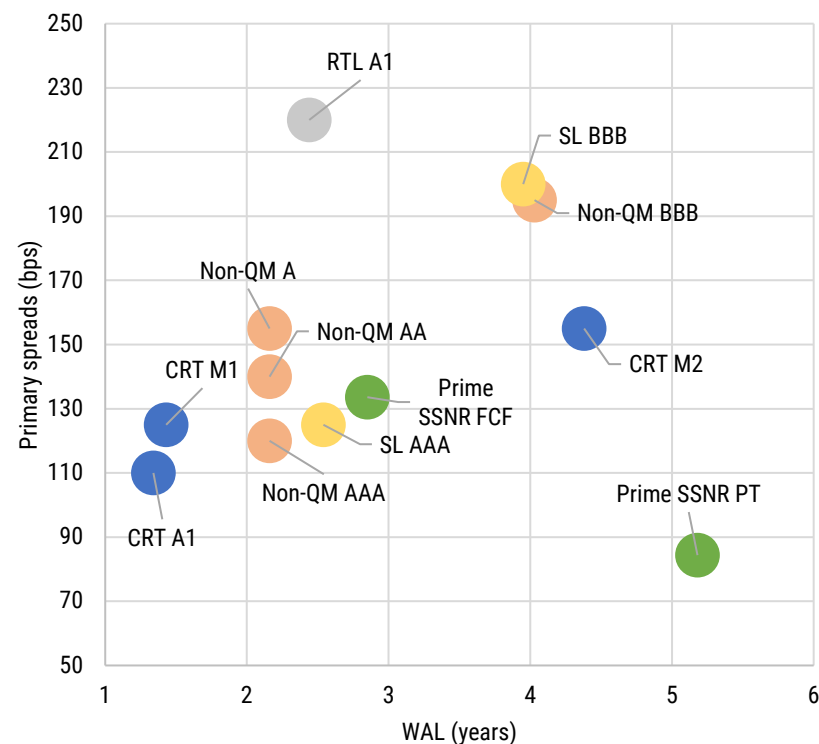
## Finding Value in Non-QM

Given the relative size and liquidity of Non-QM, we prefer to express our overweight in non-agency RMBS across the Non-QM capital structure

### Non-QM AAA spreads offer attractive value vs. Agency MBS spreads



### Primary spreads vs. WALs across Non-Agency RMBS products



Source: Loan Performance, Morgan Stanley Research

# US CMBS

## Redefining the Narrative

# CRE Market Finding Its Footing

## CRE Fundamentals Continue to Demonstrate Resilience

CRE recovery momentum is building, with transaction volumes up 27% YoY in 1Q26 (\$135bn), CRE prices tracking toward a ~4.9% annualized increase, origination volumes ending FY 2025 up +40% YoY, and distressed flows turning negative for the first time in 15 quarters.

## SASB Emerging as Dominant Deal Type

We revise our 2026 non-agency CMBS supply forecast lower to \$175bn, reflecting an upward revision to CRE CLO issuance (\$40–50bn) and downward revisions to both conduit (\$25-35bn) and SASB (\$95-105bn) volumes. We think SASBs could overtake conduit as the dominant CMBS deal type in 2027, with the current rate backdrop acting as a headwind for long-duration, fixed-rate conduit issuance.

## Inflection in Distress Indicators taking Shape

The rate of deterioration in conduit 2.0 distress metrics has slowed with issuance, paydowns, and extensions largely offsetting the inflow of newly delinquent loans. SASB delinquencies have remained choppy, while the reading for CRE CLOs has declined sharply, falling 225bp over the past six months. However, persistently higher rates could pressure borrower cashflows and hamper refi prospects.

## CMBS to Outperform Corporate Credit

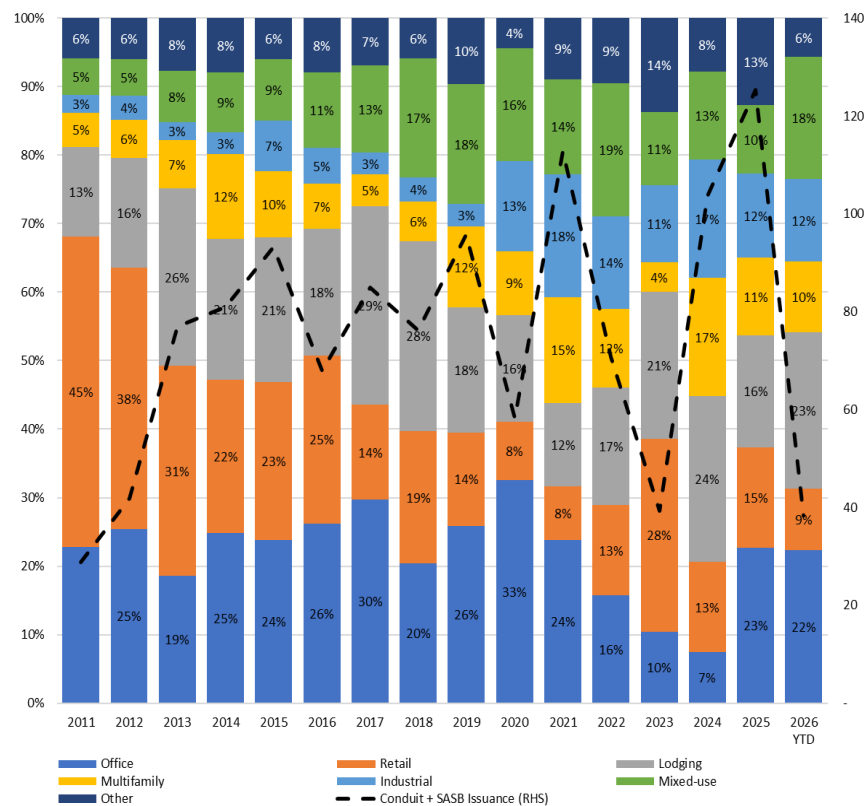
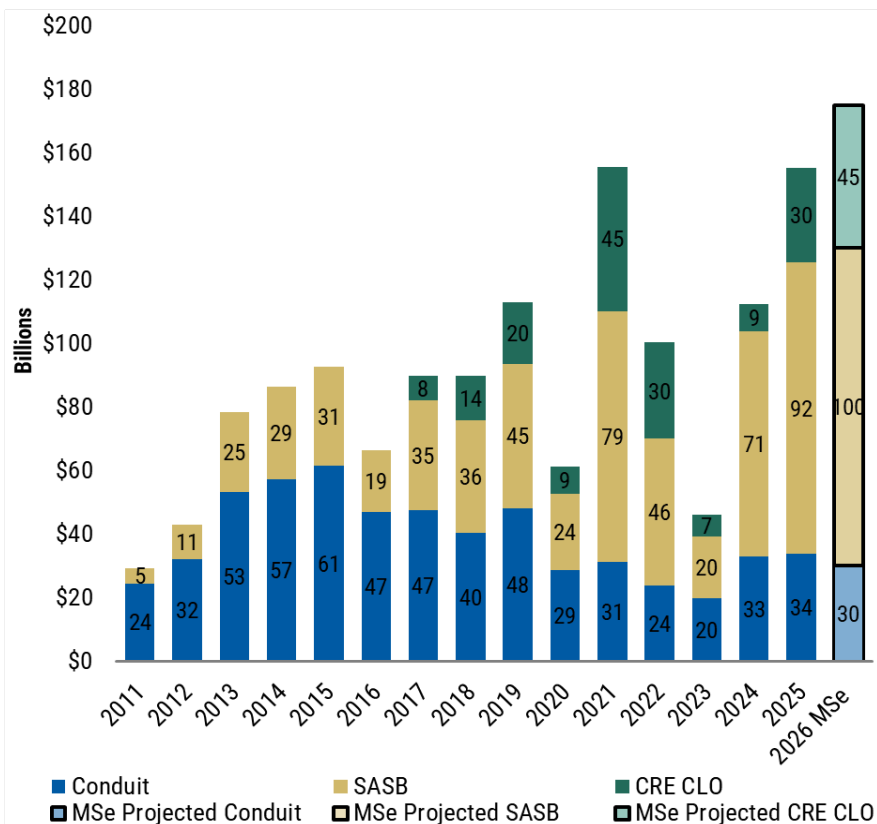
We expect US CMBS to outperform corporate credit over the forecast horizon, helped by more favorable supply/demand technicals. We particularly like SASB new issue/CRE CLO top of structures for carry and see relval opportunities in data center exposures where the pricing differential vs other property types reflects investor caution rather than weaker fundamentals.

## 2026 CMBS Issuance Up 15% YoY Through April

**We reduce our non-agency CMBS supply forecast to \$175bn based on increased risk of H2'26 slowdown against a shifting macro backdrop**

**We expect CRE CLO issuance to surpass that of conduit this year**

**Office and lodging represent the largest concentration of new issue YTD**

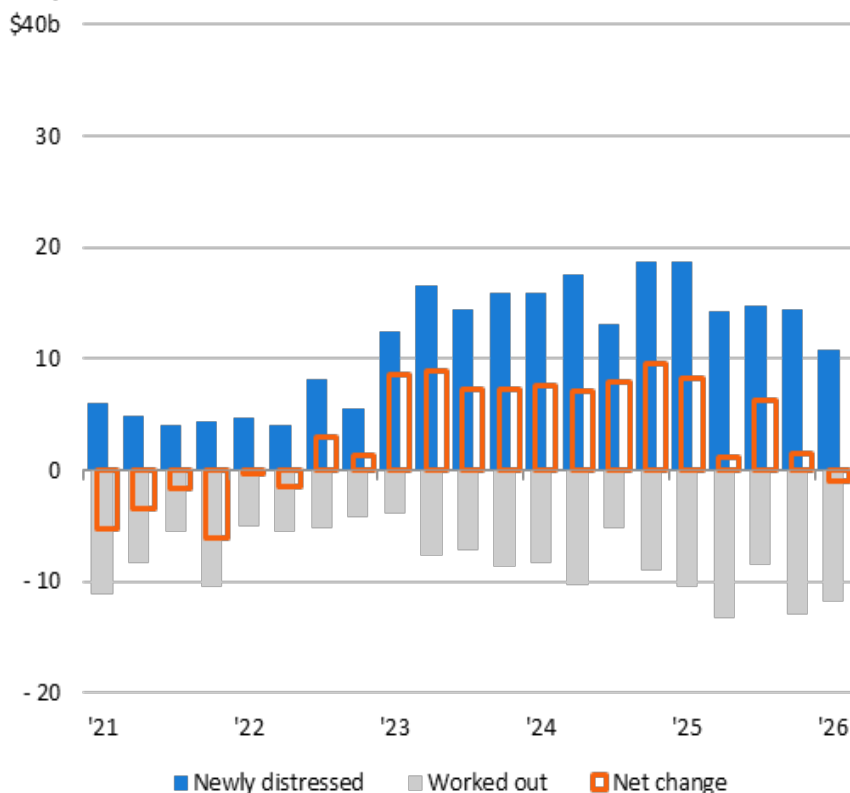


Source: Green Street Advisors, Trepp, Morgan Stanley Research forecasts

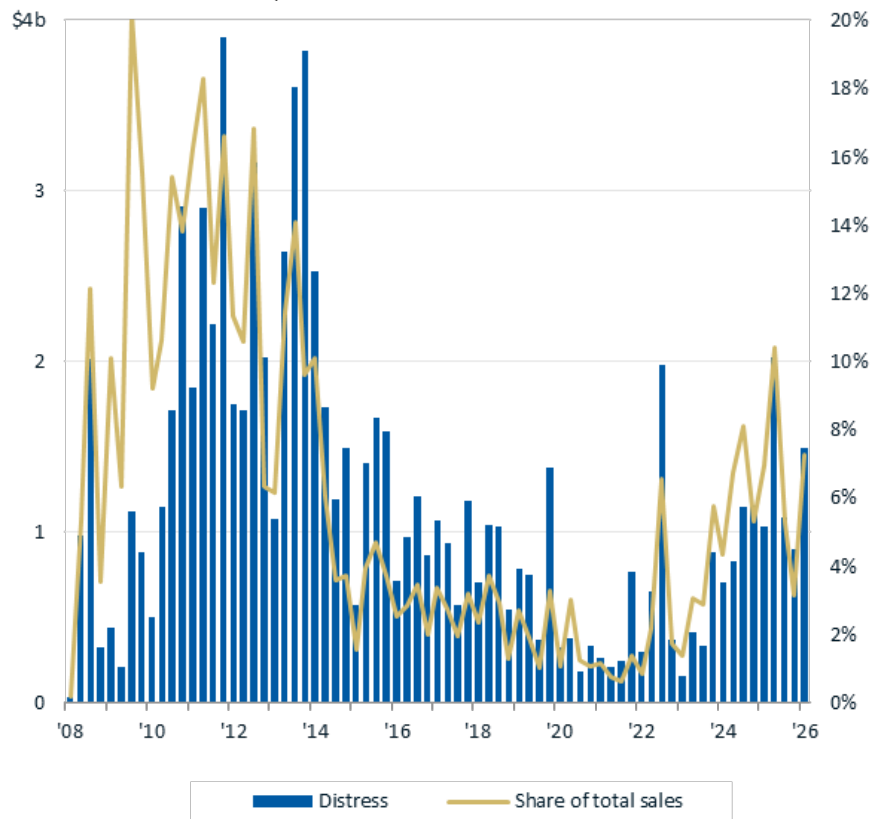
## CRE Recovery Gains Momentum

CRE fundamentals continue to strengthen, with improvements across key indicators including origination volumes, transaction activity, and distress flows

**Net change in CRE distress flows turned negative in Q1'26 for the first time in 15 quarters**



**Distressed office sales represented ~7.3% of total sales in Q1'26**

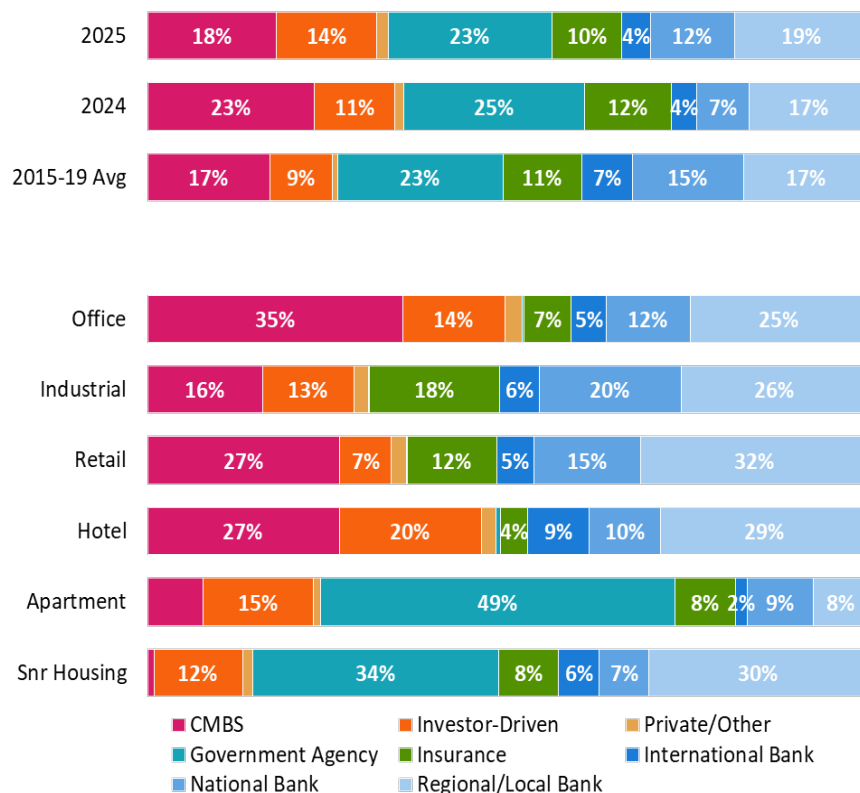


Source: Real Capital Analytics, Morgan Stanley Research

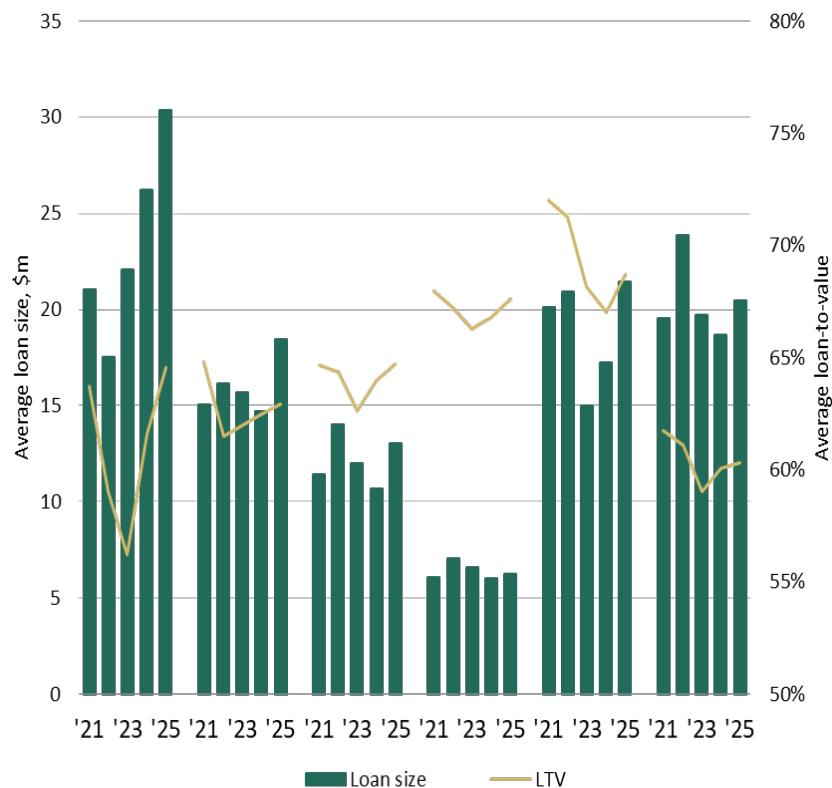
# Banks/Alternative Lenders Gaining CRE Origination Share

Competition across CRE lending intensified last year and is likely to remain a defining feature of the market through 2026

CMBS market share in CRE originations fell to 18% in FY 2025, near recent pre-COVID averages



LTVs have been rising across lender types; the increase is most pronounced for CMBS

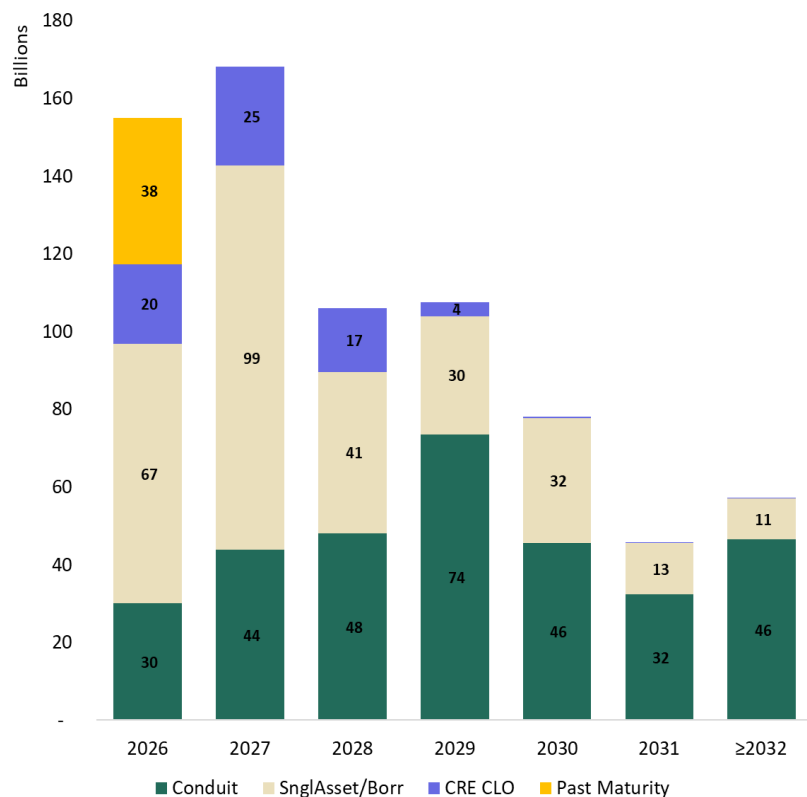


Source: Green Street Advisors, Trepp, Morgan Stanley Research

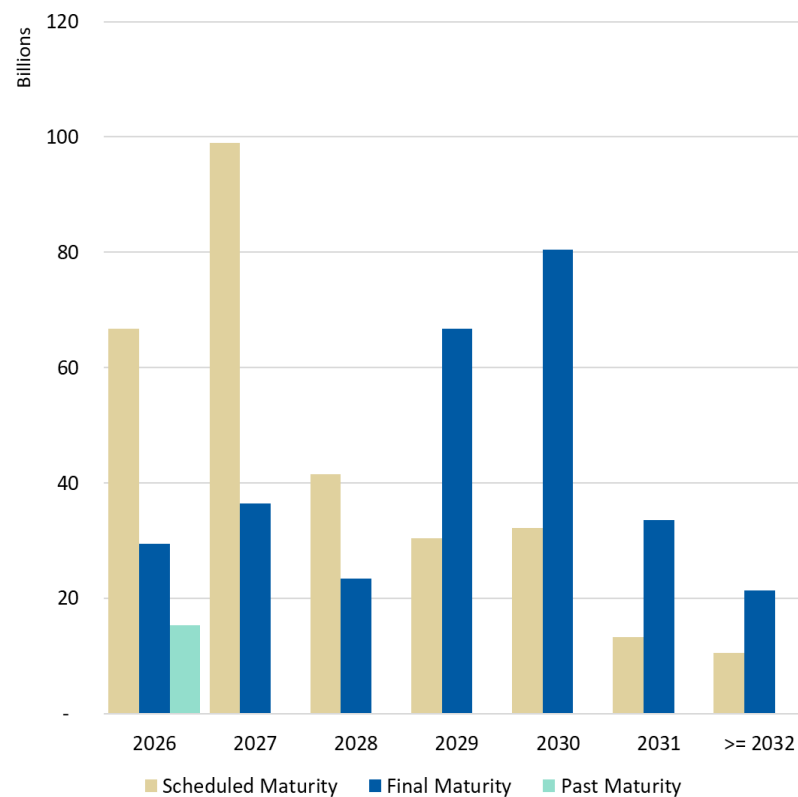
## Persistently Higher Rates Likely a Headwind for Refi Prospects

Roughly \$155bn in CMBS loans are up for maturity through YE; another ~\$81bn in SASBs are reaching their final maturity through 2027

### CMBS Maturity Overview by Deal Type



### SASB Current vs Fully-Extended Maturity

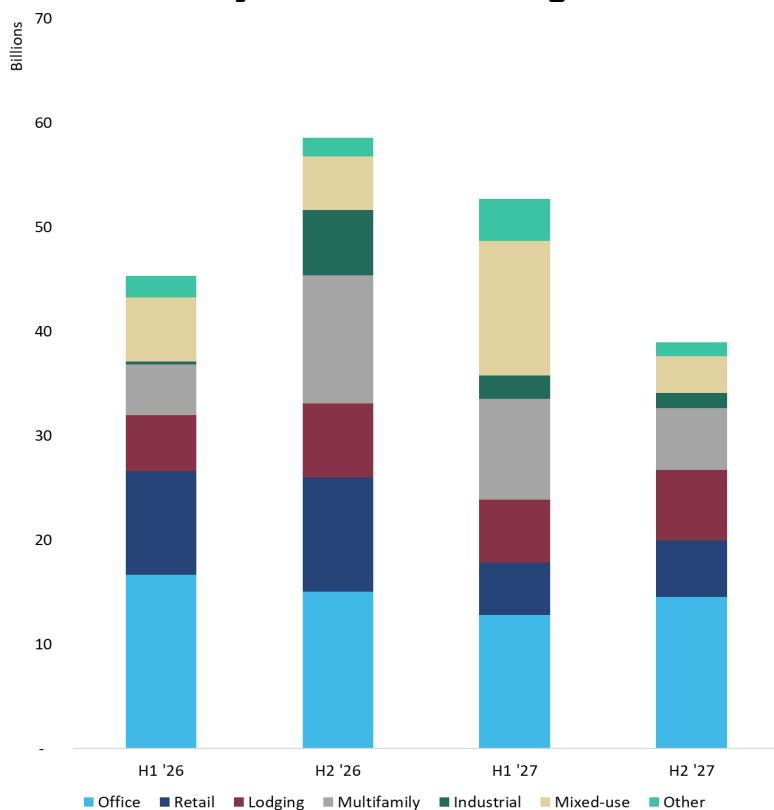


Source: Trepp, Morgan Stanley Research

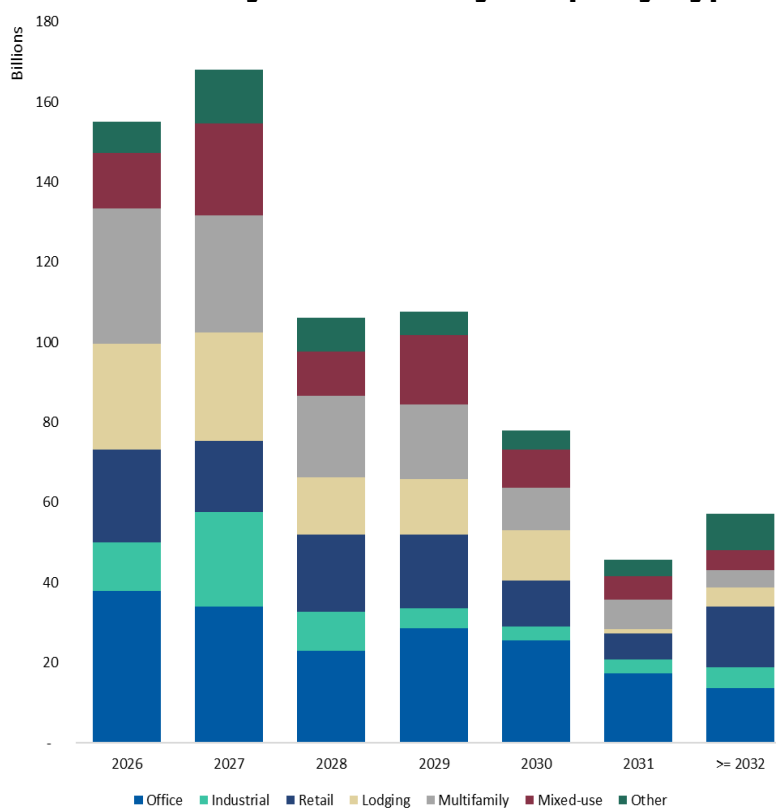
# Persistently Higher Rates to Serve as Headwind for Refi Prospects

The recent backup in rates may hinder conduit refis, putting upward pressure on DQs, while delayed Fed easing continues to weigh on borrower cashflows

## CMBS Maturity Overview Through 2027



## CMBS Maturity Overview by Property Type

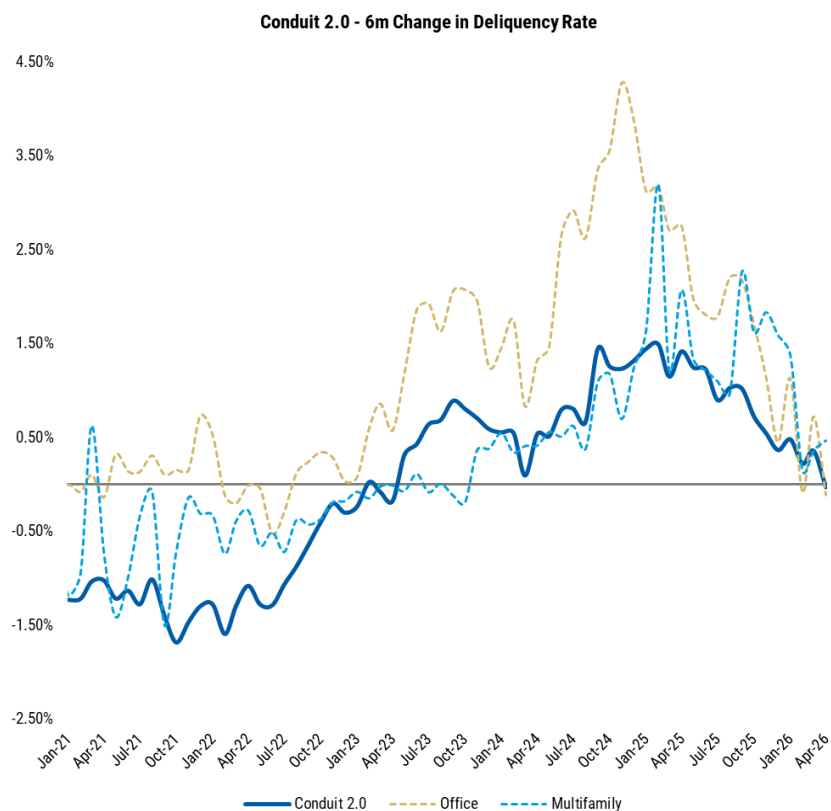


Source: Trepp, Morgan Stanley Research

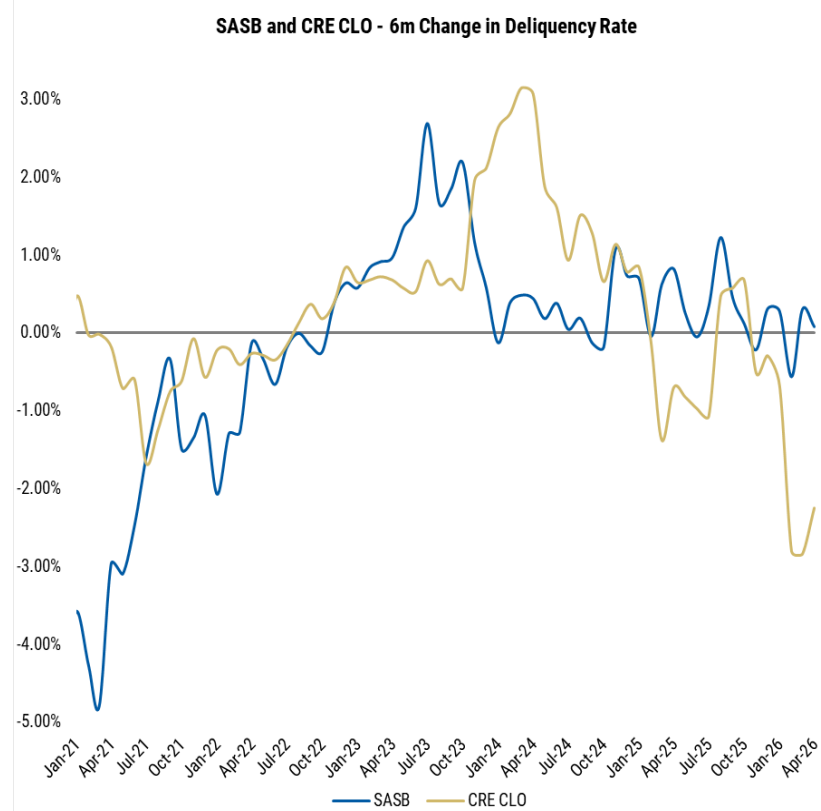
# CMBS Distress Indicators Showing Signs of Inflection

Headline CMBS 2.0 delinquency rates showing signs of gradual improvement across deal types

New issue, paydowns, and loan mods have offset inflow of new delinquencies



SASB DQs are stabilizing, meanwhile the readings for CRE CLOs have declined notably



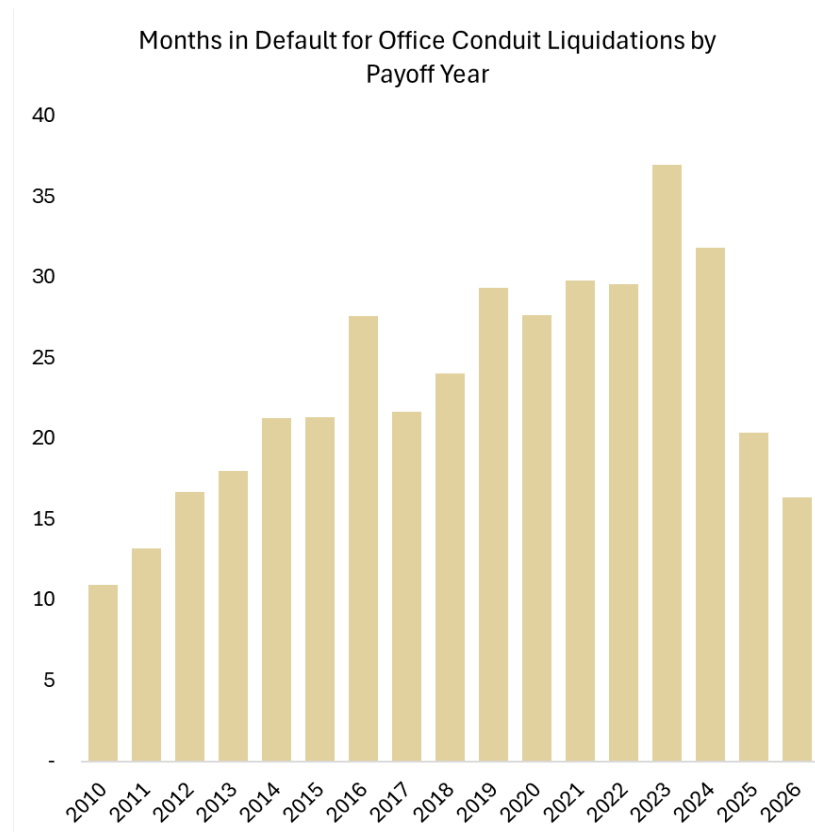
Source: Trepp, Morgan Stanley Research

# Office Losses Reflect Magnitude of Post-COVID Valuation Resets

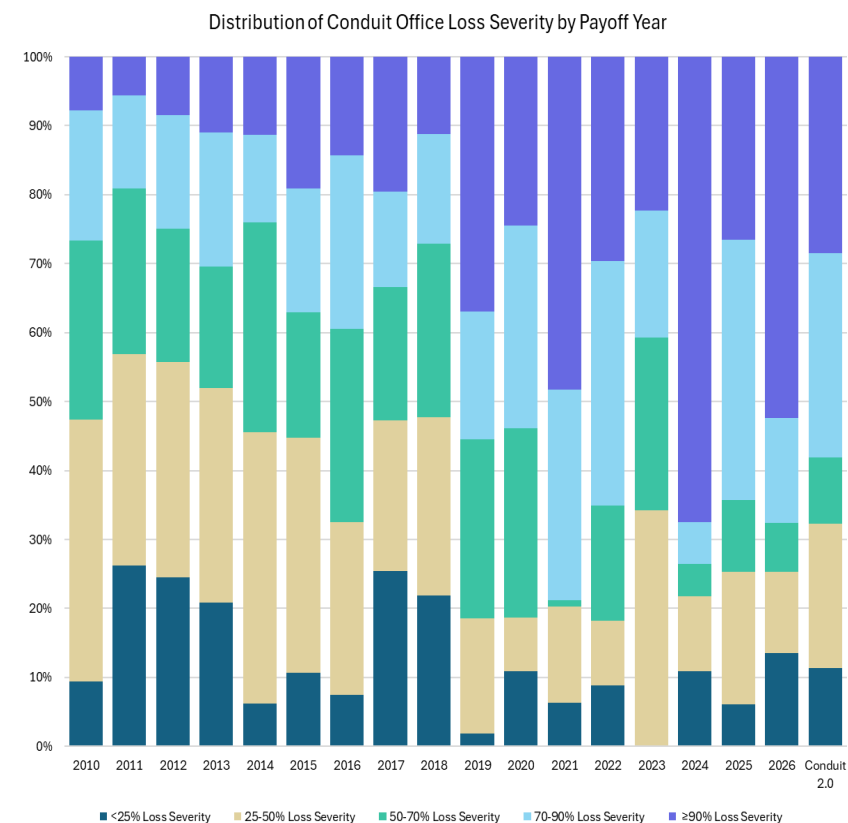
Office liquidation pathway has shortened significantly in 2025-26, though lender liquidity remains selective with 12-month conduit payoff rates hovering ~50%

**Avg months in default for conduit office loans prior to liquidation have fallen to <20 months**

**Conduit office liquidations are concentrated in higher loss severity buckets**



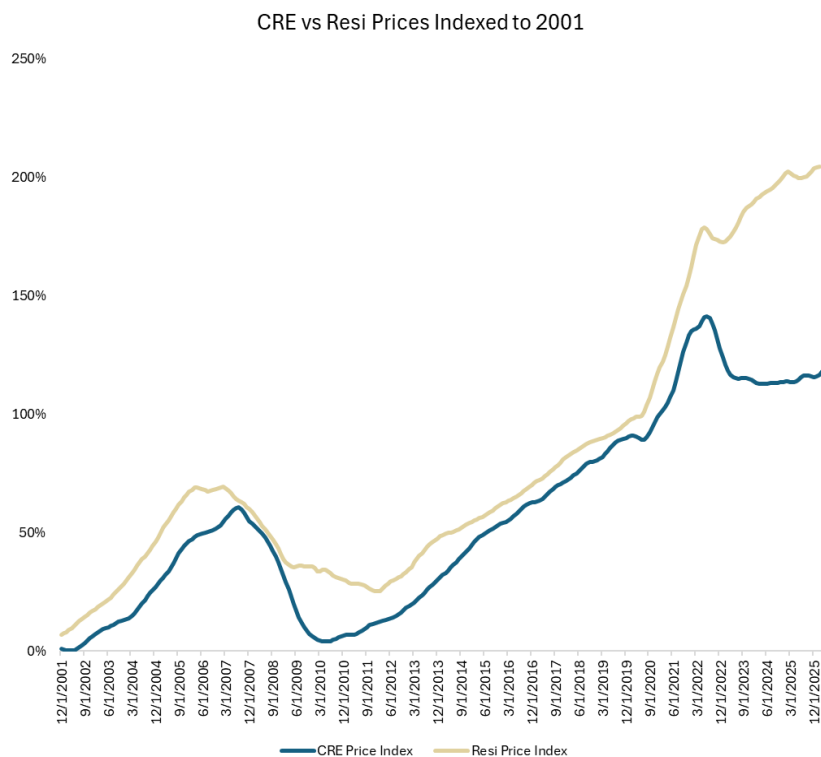
Source: Trepp, Morgan Stanley Research



# CMBS Valuations at Multi-Year Tights

**We expect CMBS to outperform corporates and think it is better insulated from supply/technical headwinds compared to other asset classes**

**CRE recovery has lagged that of the resi market coming out of COVID**



## CMBS Excess Spread Forecast and Returns

| Industrial Sector   | CMBS Returns |       |         |         |         |         |
|---------------------|--------------|-------|---------|---------|---------|---------|
|                     | YTD          | 1Q    | FY 2025 | FY 2024 | FY 2023 | FY 2022 |
| CMBS AAA            | 0.7%         | 0.3%  | 7.7%    | 5.6%    | 5.8%    | -9.7%   |
| CMBS BBB-           | 1.3%         | 0.5%  | 8.4%    | 14.3%   | -4.9%   | -8.6%   |
| IG Corp             | 0.3%         | -0.5% | 7.8%    | 2.0%    | 8.2%    | -15.3%  |
| HY Corp             | 1.3%         | -0.5% | 8.6%    | 8.2%    | 13.4%   | -11.2%  |
| US Treasuries       | -0.1%        | 0.0%  | 6.3%    | 0.6%    | 4.1%    | -12.5%  |
| US Long Maturity Ts | -0.8%        | -0.4% | 5.6%    | -6.4%   | 3.1%    | -29.3%  |

|                    | 2Q 2027 Forecast |      |      |      |                |       |        |
|--------------------|------------------|------|------|------|----------------|-------|--------|
|                    | Spreads          |      |      |      | Excess Returns |       |        |
|                    | Current          | Bull | Base | Bear | Bull           | Base  | Bear   |
| CMBS AAA           | 71               | 60   | 75   | 110  | 1.8%           | 0.3%  | -3.2%  |
| Secondary          | 77               | 70   | 90   | 125  | 1.3%           | -0.1% | -2.0%  |
| US IG              | 465              | 390  | 470  | 750  | 12.2%          | 4.2%  | -23.9% |
| CMBS BBB-Secondary | 266              | 230  | 275  | 425  | 3.7%           | 1.8%  | -3.3%  |
| US HY              |                  |      |      |      |                |       |        |

Source: Morgan Stanley Trading Desk, Bloomberg US CMBS 2.0 Total Returns Index, Morgan Stanley Research forecasts

## US CLOs

### The Push and Pull

## Curve Steepening : Forces ‘Pulling’ & ‘Pushing’ the CLO Market

### Demand (Pull)

The conclusion of Basel III Endgame and favorable NAIC treatment should reinforce demand for senior IG tranches. Robust fixed annuity sales and continued CLO ETF inflows amid elevated rate expectations should also support demand for senior and floating-rate CLO exposure.

### AI Concerns Remain a Key Theme (Push)

We see AI disruption creating meaningful refinancing challenges for B- rated software names with maturities through 2028. We expect a significant portion of them will face impending downgrade pressure with constrained market access and may have to pursue LMEs to extend maturities.

### Supply

We revise down our 2026 NI forecast to \$180bn (\$140bn BSL, \$40bn PC). The revision reflects the slower pace of issuance YTD and a still-challenging arb. We also expect a modest slowdown in refi/reset activity. As a steeper CLO liability curve, wider mezz, and the need for managers to clean up lower-quality collateral pools increase the cost of resets, we expect activity to skew toward partial refis.

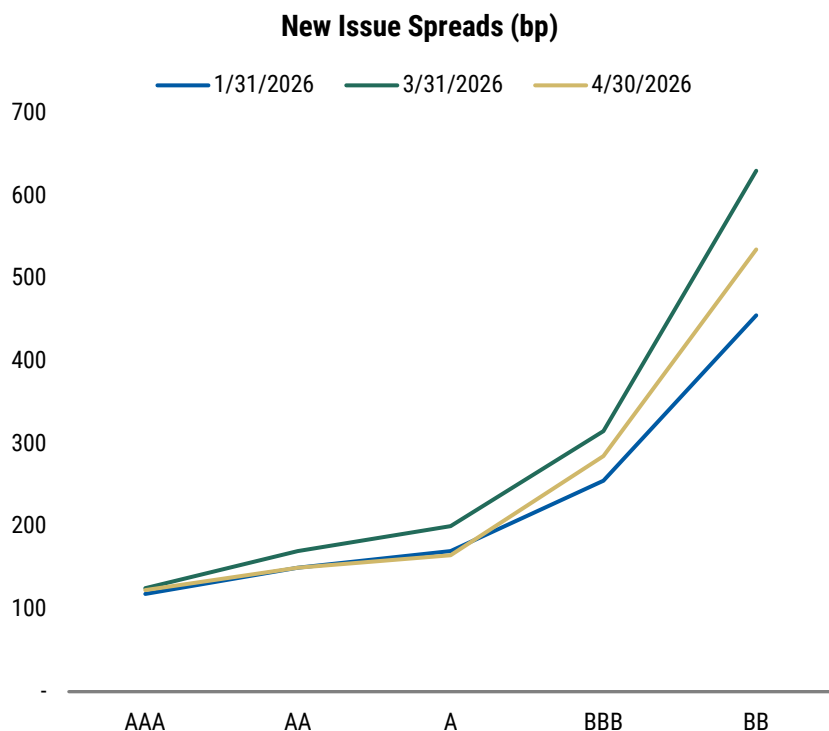
### BSL Over PC at the Aggregate Level, But Selective Buying Opportunities Have Emerged

PC CLO spread premia over BSL have widened recently amid growing AI concerns (~30bp now vs. ~20bp YE25). We expect the basis to widen further from here, reflecting a more balanced supply-demand backdrop compared with BSL and incrementally weaker fundamental dynamics within private credit. However, we view a 40bp spread pickup versus BSL as an interesting entry point for PC AAAs.

# CLO Spreads: The Push and Pull

**We expect the credit curve to steepen and favor an up-in-quality bias: owning AAAs to clip high-quality coupons while awaiting a better entry point for mezz**

## CLOs retraced much of March's widening



## Spread and return forecasts for US CLO AAAs and BBs through 2Q27

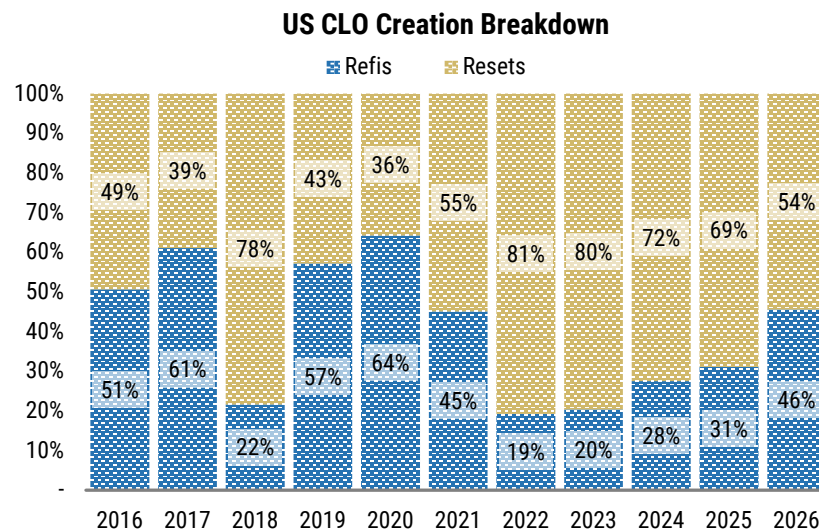
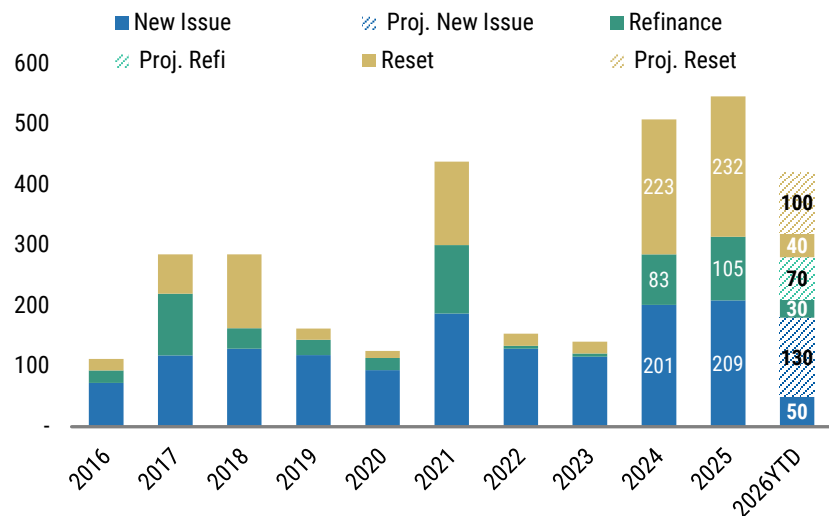
| T1 Primary CLO AAAs  | Forecast |      |       |
|----------------------|----------|------|-------|
| Current: 3mS + 123bp | Bull     | Base | Bear  |
| Spread (bp)          | 108      | 120  | 175   |
| Excess Return        | 2.1%     | 1.4% | -1.6% |

| T1 Primary CLO BBs   | Forecast |      |        |
|----------------------|----------|------|--------|
| Current: 3mS + 535bp | Bull     | Base | Bear   |
| Spread (bp)          | 440      | 580  | 800    |
| Excess Return        | 14.4%    | 1.1% | -19.8% |

Source: Morgan Stanley Research forecasts, Bloomberg. Note: 2026 spreads are through May 8, 2026.

## CLO Volume: Not Matching Last Year's Record Levels

We cut our 2026 new issue forecast to \$180bn (\$140bn BSL / \$40bn PC) and \$240bn of refi/reset transactions, reflecting slower YTD issuance and a still-challenging arb



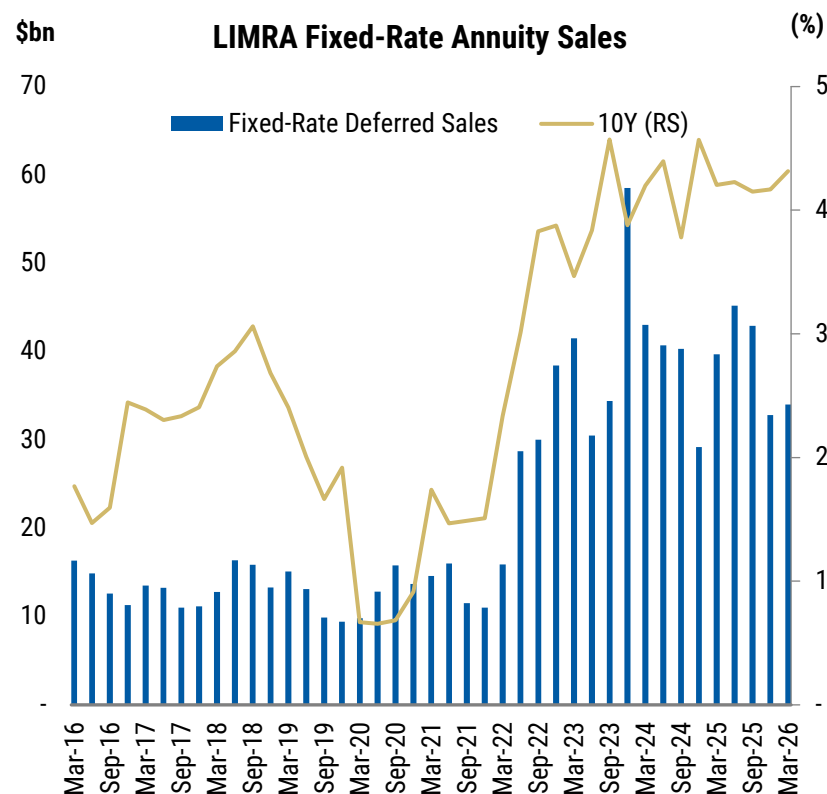
| HY and Loan Issuance Forecasts (\$bn) | 2022 | 2023 | 2024 | 2025 | 2026 Est | '26/'25 (\$) | '26/'25 (%) |
|---------------------------------------|------|------|------|------|----------|--------------|-------------|
| <b>High Yield Bonds</b>               |      |      |      |      |          |              |             |
| Total Bond Refinancing                | 49   | 110  | 197  | 231  | 280      | +49          | 21%         |
| Bond Non-Refinancing                  | 53   | 66   | 84   | 96   | 160      | +64          | 67%         |
| Gross HY Bond Issuance                | 102  | 176  | 282  | 327  | 440      | +113         | 34%         |
| <b>Leveraged Loans</b>                |      |      |      |      |          |              |             |
| Total Loan Refinancing                | 59   | 137  | 261  | 195  | 175      | (20)         | (10%)       |
| Loan Non-Refinancing                  | 167  | 97   | 241  | 245  | 250      | +5           | 2%          |
| Gross Institutional Loan Issuance     | 225  | 234  | 502  | 440  | 425      | +93          | (3%)        |

Source: Morgan Stanley Research forecasts, PitchBook | LCD, Intex. Note: 2026 volumes are through May 8, 2026.

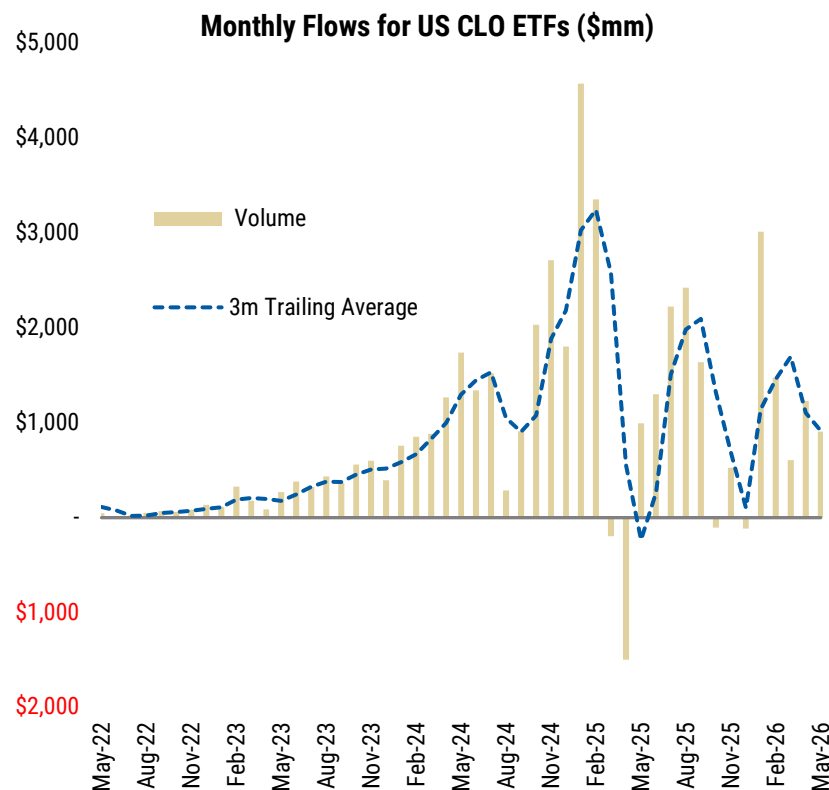
# CLO Demand: Insurance and ETF Channels Remain Supportive

Robust fixed annuity sales and continued CLO ETF inflows amid elevated rate expectations should support demand for senior and floating-rate CLO exposure

## Fixed annuity sales tracked robust levels



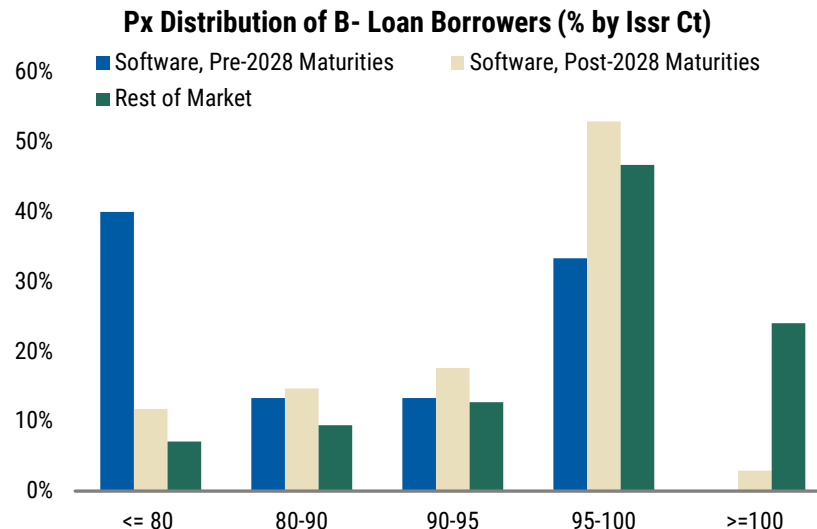
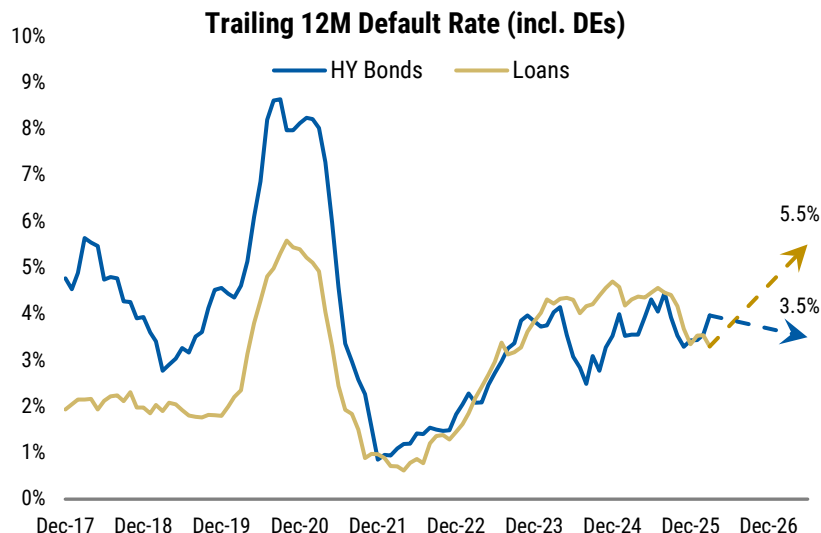
## CLO ETF AUM has grown to ~\$45bn, with robust inflows over the past 3 years



Source: LIMRA, Bloomberg, Morgan Stanley Research. Note: No investment recommendation is made with respect to any of the ETFs or mutual funds referenced herein. Investors should not rely on the information included in making investment decisions with respect to those funds.

# Scenario Analysis: CCC Downgrades on CLO Portfolios

In our central scenario, we see AI disruption creating meaningful refinancing challenges for B- rated software names with maturities through 2028



## CLO Sensitivity to B- Downgrades Under AI Disruption Scenarios

| Scenarios                                    | Aggregate B- Downgrade Rate | ▲ BB MVOC<br>(Current: 104.7) | ▲ BBB MVOC<br>(Current: 109.4) | ▲ CCC<br>(Current: 4.2%) |
|----------------------------------------------|-----------------------------|-------------------------------|--------------------------------|--------------------------|
| Upside Scenario: Easing Market Access        | 9.5%                        | -39bp                         | -41bp                          | +1.7%                    |
| Central Scenario: Concentrated Refi Pressure | 16%                         | -71bp                         | -74bp                          | +2.9%                    |
| Downside Scenario: Restricting Market Access | 22%                         | -102bp                        | -106bp                         | +4.0%                    |

Source: PitchBook, Intex, Morgan Stanley Research

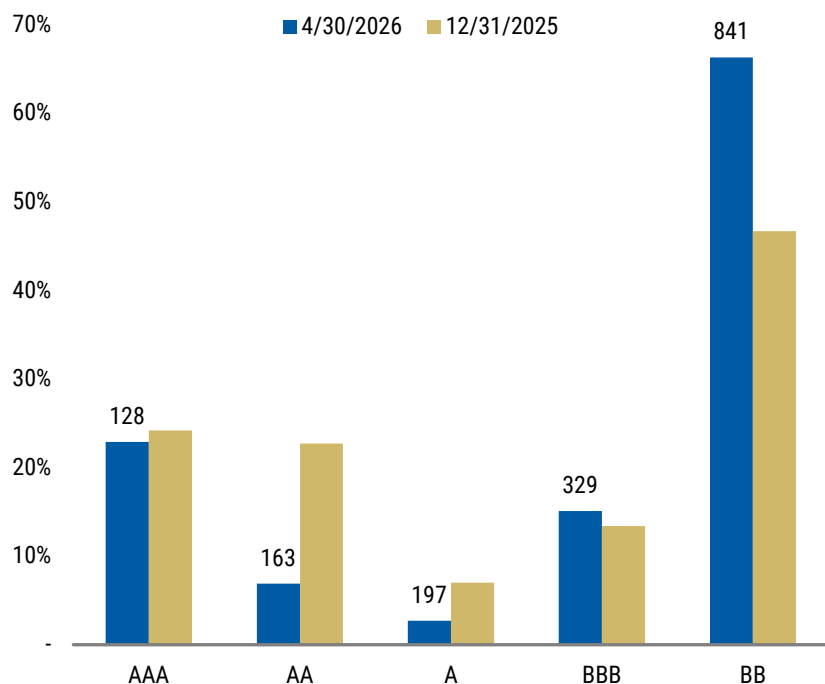
## Positioning: Favoring Sr. Debt While Remaining Cautious on Equity

We continue to favor the senior part of the capital structure. We remain cautious on equity as it continues to face pressure from both the IO and PO side of the trade

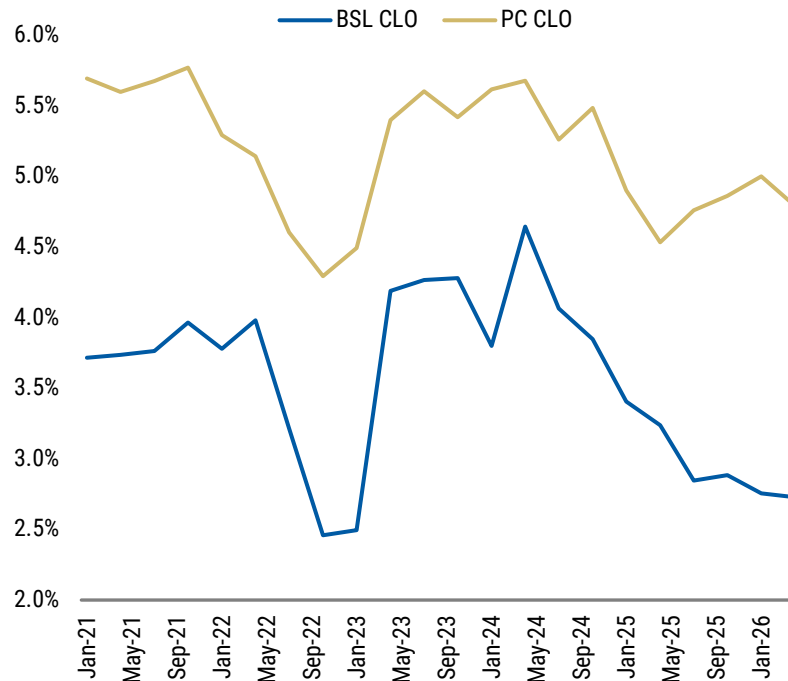
AAA spreads ~20th %-tile vs. past 10yr

Equity cash distribution remains subpar

%-Tile Range of CLO Spreads in Secondary Market  
(2016-Now)



Median US CLO Equity Distributions



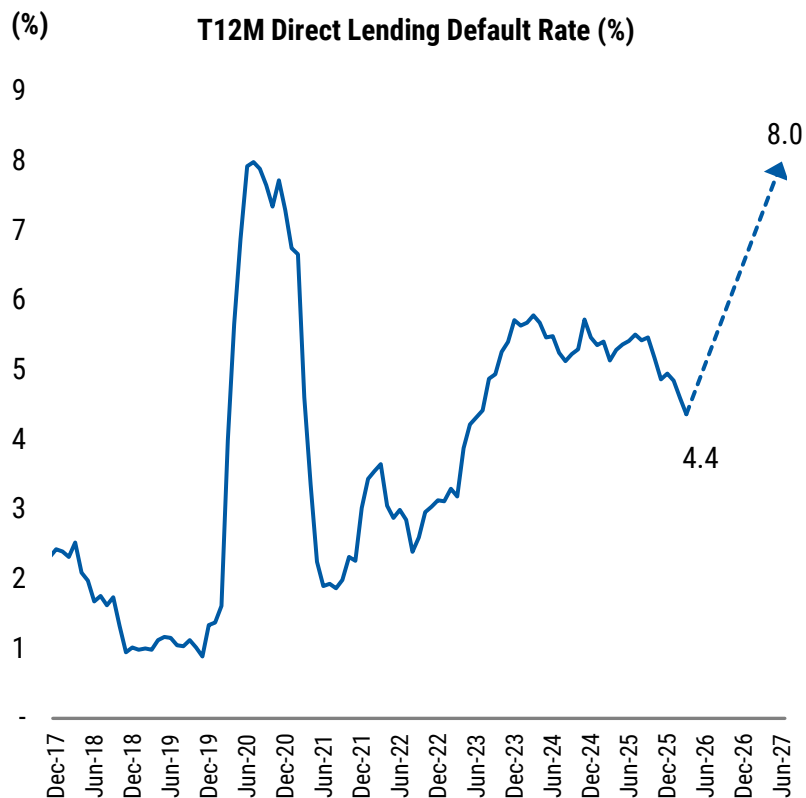
Source: Intex, Markit, Bloomberg, Morgan Stanley Research

# PC CLOs: Widening Spreads Creating Selective Opportunities

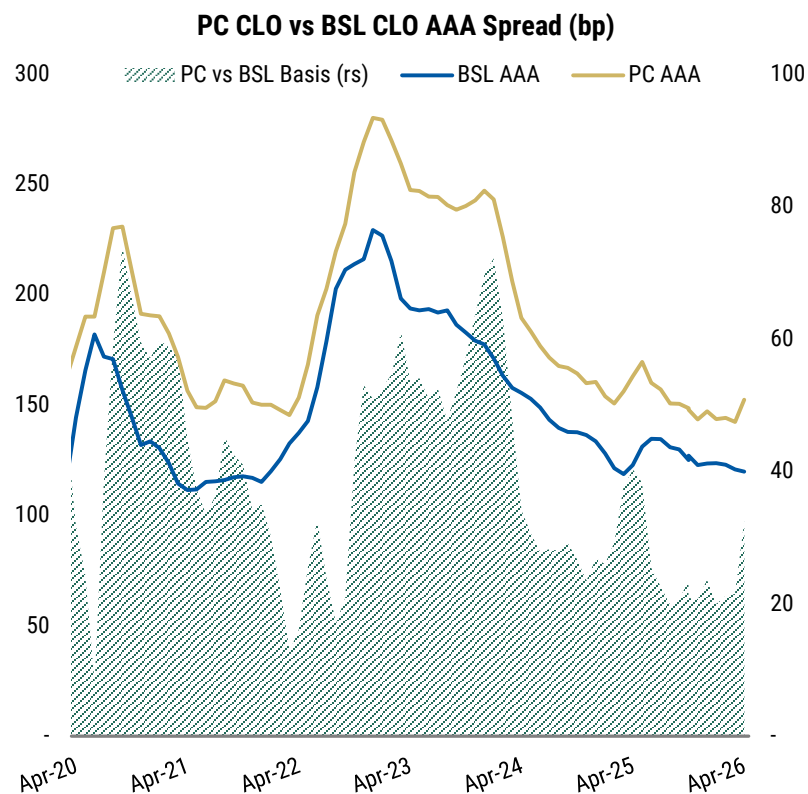
We prefer BSL over PC CLOs at the aggregate level, but recent widening opens buying opportunities for PC CLO AAAs

We expect PC defaults to reach 8% by 1H27

PC CLO spread premia has widened



Source: PitchBook | LCD, S&P, Morgan Stanley Research



# ABS

## Down the Stack in Digital Infra

## Down the Stack in Digital Infra

### Digital Infra Rises to the Top

We think data center ABS offer attractive relative value to where deals are getting done in the HY/IG secured corporate space, especially when considering investor protections/credit enhancements, tenant diversification, and the presence of fully stabilized assets. Fiber continues to be a well-liked expression of the critical infrastructure build. We see value across the capital stack, with the best rel val opportunities in Data Center BBB and Fiber BB.

### Prime Over Subprime, Again

We are more cautious on the consumer given the elevated inflation, lack of relief from rate cuts, and shallower-than-expected tax refunds. A steady forecast for the labor market should help keep increases in delinquencies contained, but the fundamental backdrop is not as optimistic as we initially thought. We think investor sentiment has waned for subprime. We prefer Prime AAAs over Subprime.

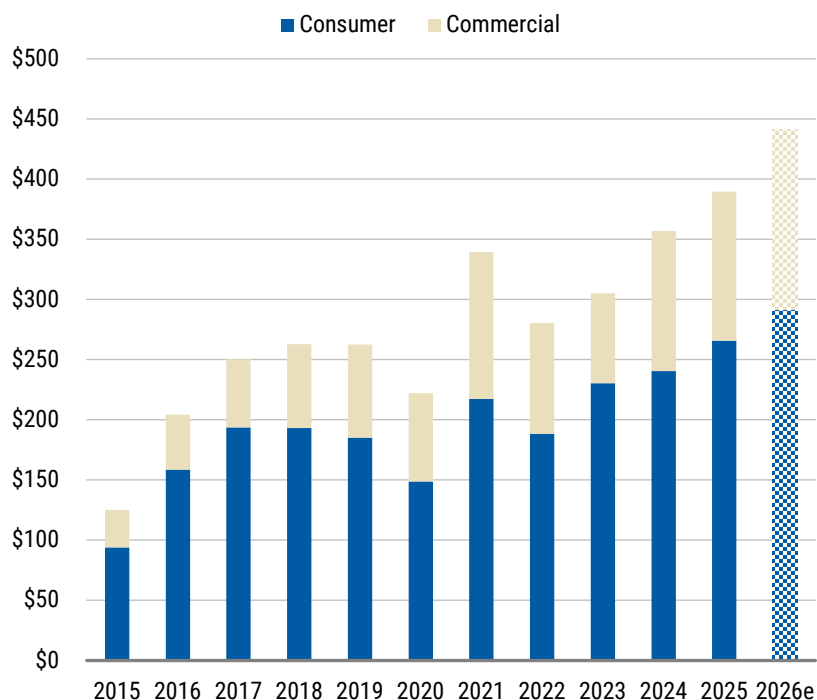
### A New Record for Supply?

The busiest start to the year in terms of ABS issuance... again. We now expect \$440bn of ABS issuance this year, up from \$390 last year. Both the consumer and commercial sides of ABS are engines for growth this year, with healthy auto and MPL supply being met by consistent esoteric paper from a wide range of industries. We look for \$290bn of consumer to end the year and \$150bn of commercial.

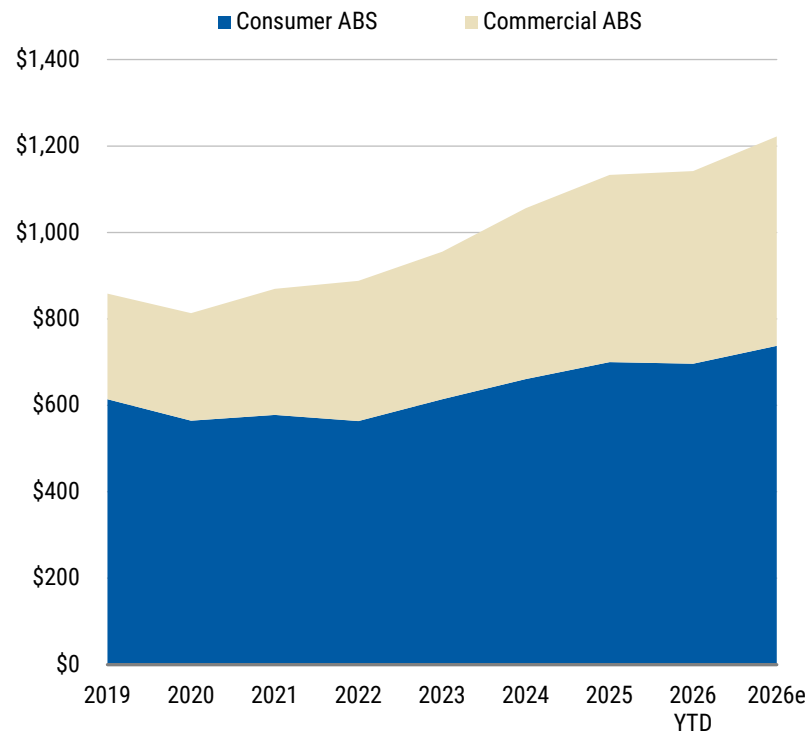
# Raising our 2026 Gross Issuance Forecast to \$440bn from \$360bn

After the busiest start to the year in issuance, we raise our gross supply forecast to \$440bn and see the total outstanding balance growing to just over \$1.2tr

## ABS Historical Gross Issuance & Forecast



## ABS Outstanding Balance & Forecasts



Source: Intex, Bloomberg, Morgan Stanley Research

## 2Q27 ABS Spread Forecasts

We see more value over NTM in digital infrastructure than consumer ABS

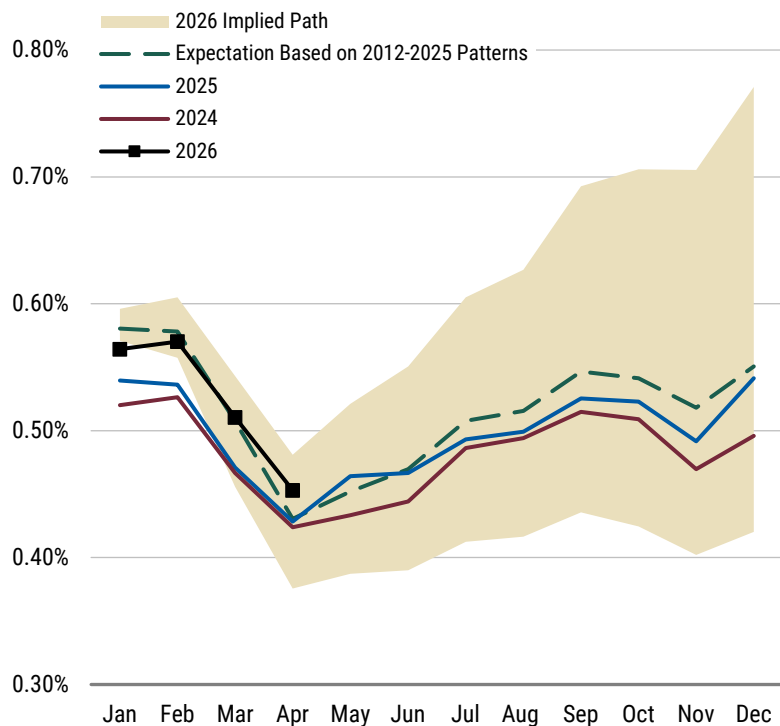
|                   | Spreads |      |      |      | Excess Returns |      |       |
|-------------------|---------|------|------|------|----------------|------|-------|
|                   | Current | Bull | Base | Bear | Bull           | Base | Bear  |
| Prime Auto AAA    | 35      | 15   | 25   | 55   | 0.9%           | 0.6% | -0.2% |
| Subprime Auto AAA | 45      | 30   | 55   | 100  | 0.7%           | 0.3% | -0.4% |
| Subprime Auto BBB | 115     | 100  | 140  | 225  | 1.7%           | 0.2% | -2.9% |
| Fiber A           | 145     | 120  | 140  | 180  | 2.7%           | 1.7% | -0.3% |
| Data Center A     | 180     | 150  | 175  | 225  | 3.3%           | 2.1% | -0.5% |

Source: TRACE, Bloomberg, Morgan Stanley Research estimates

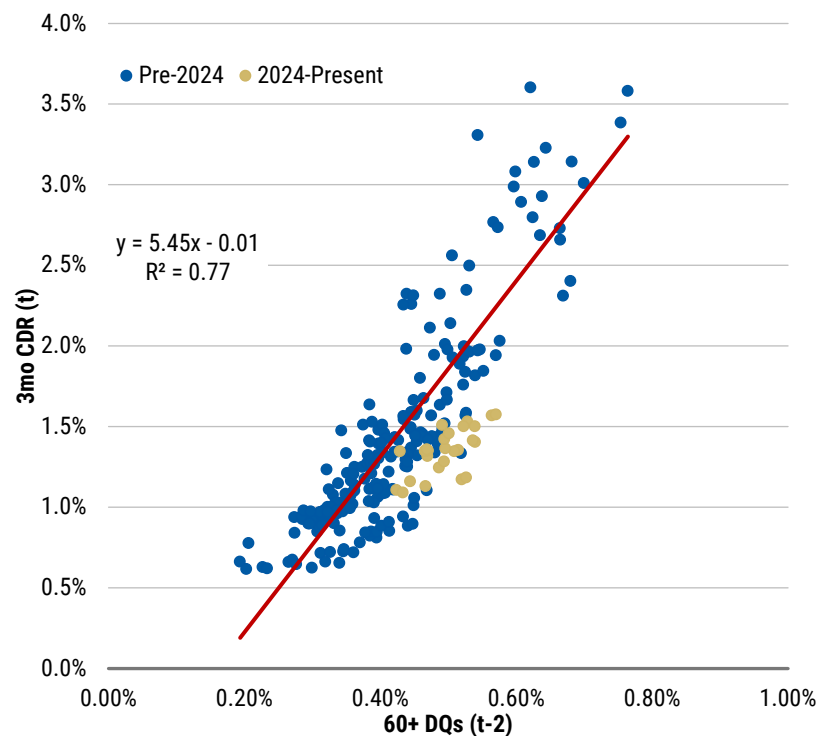
## Delinquencies Fall Mostly In Line With Seasonal Patterns

While the material correction we anticipated has not yet occurred in either Prime or Subprime, DQs are down to start the year, and defaults are below expected levels

### Prime Auto 60+ DQs 2026 Implied Path



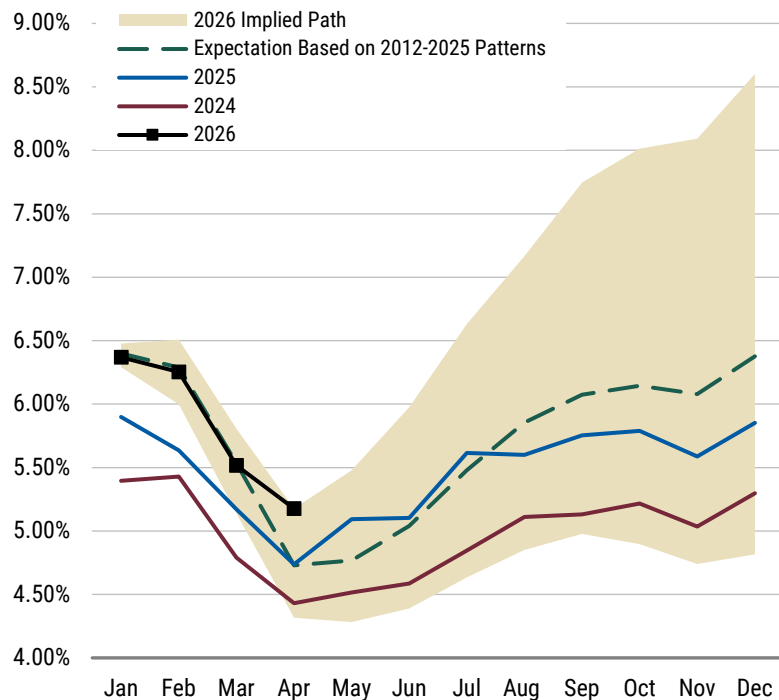
### Prime Auto 60+ DQs vs Defaults



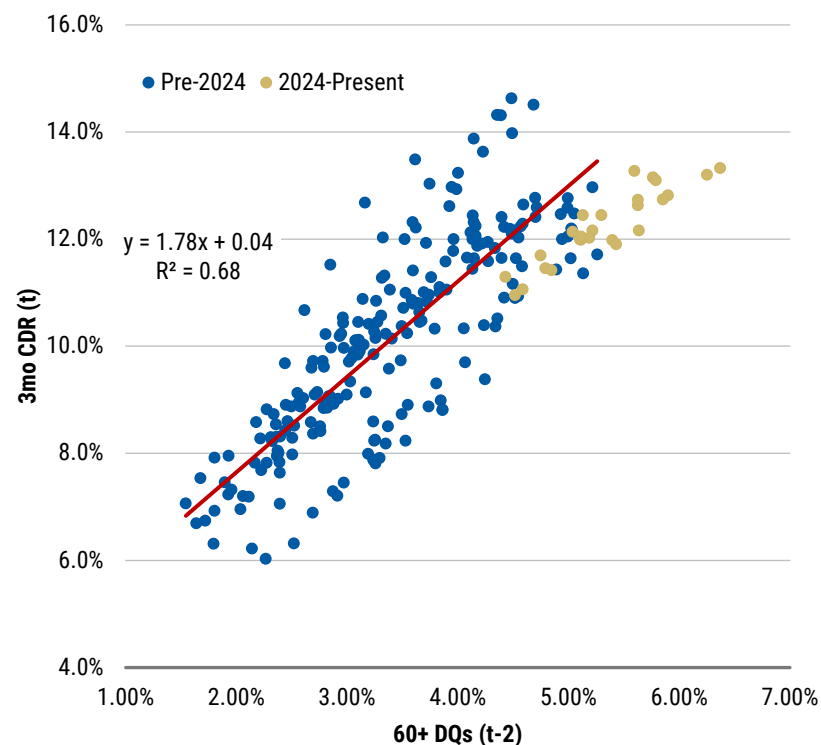
## Subprime Auto DQs Softer Than Expected, Too

... but defaults also remain below expected levels. We think a shift in mix is responsible for driving elevated delinquencies in Subprime

### Subprime Auto 60+ DQs 2026 Implied Path



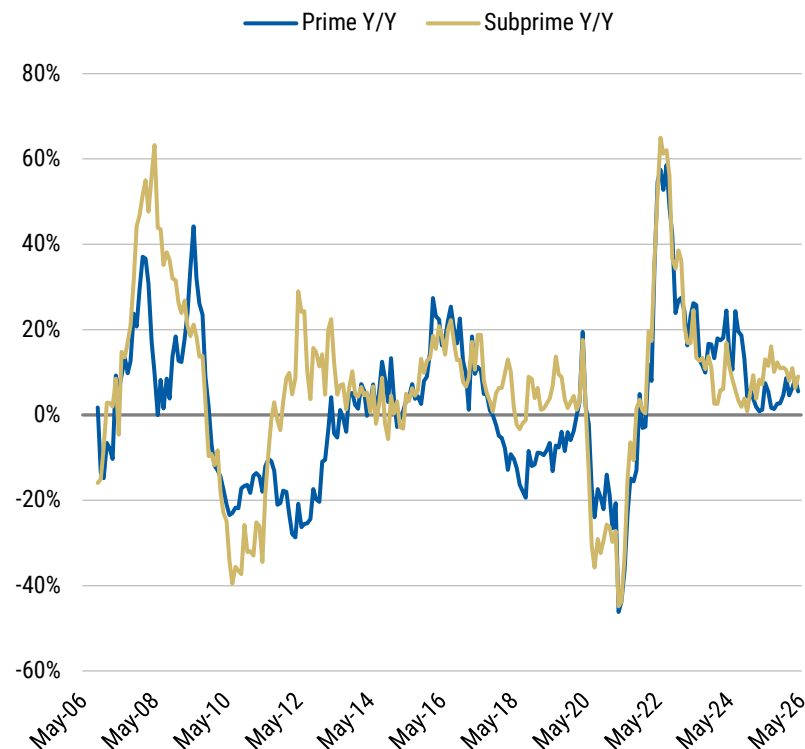
### Subprime Auto 60+ DQs vs Defaults



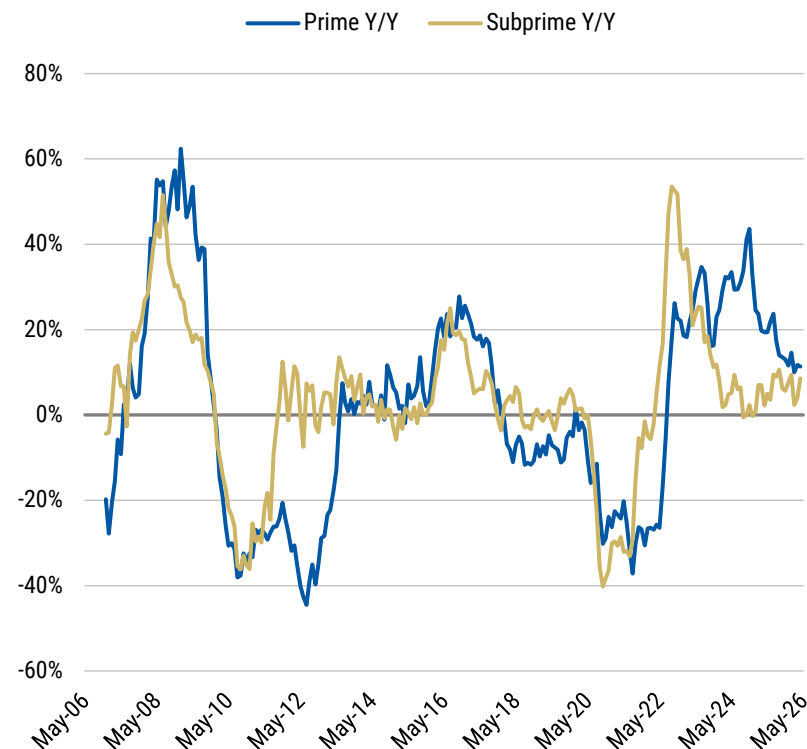
## Slightly Increasing Pace of 60+ DQs and 3mo CDR Across Autos

While the pace of DQ increase is still positive, as is true for defaults, we do not observe real acceleration in either, albeit with a different pattern for both

### 60+ DQs Y/Y Change



### 3mo CDR Y/Y Change

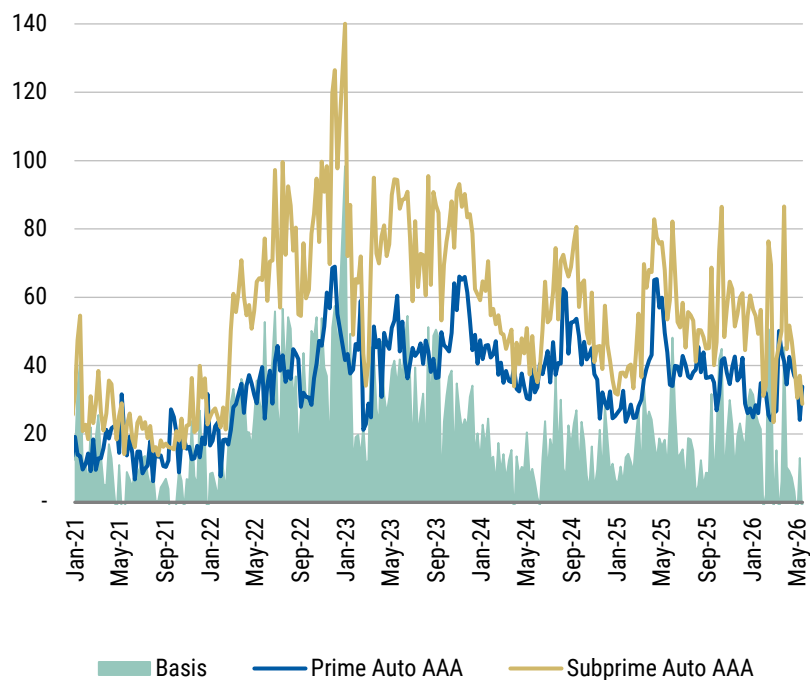


Source: Intex, Morgan Stanley Research

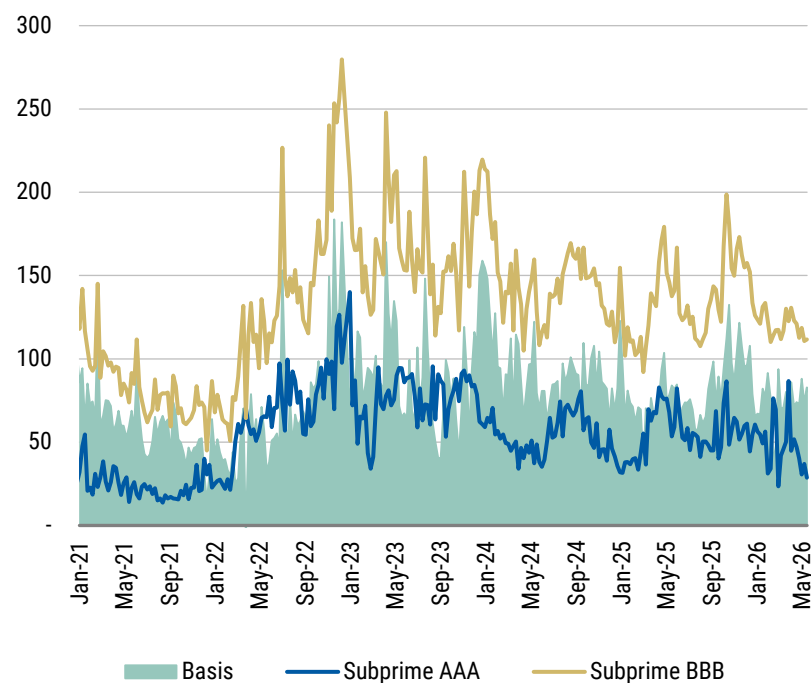
## We Prefer Prime AAA Over Subprime AAA Over the Next 12 Months

Given the macro uncertainty that should most affect the low-to-middle income consumer and weaker investor sentiment for subprime paper, we think there will be better entry points ahead for Subprime and prefer Prime instead

Prime AAA vs Subprime AAA Secondary Spreads



Subprime AAA and BBB Secondary Spreads

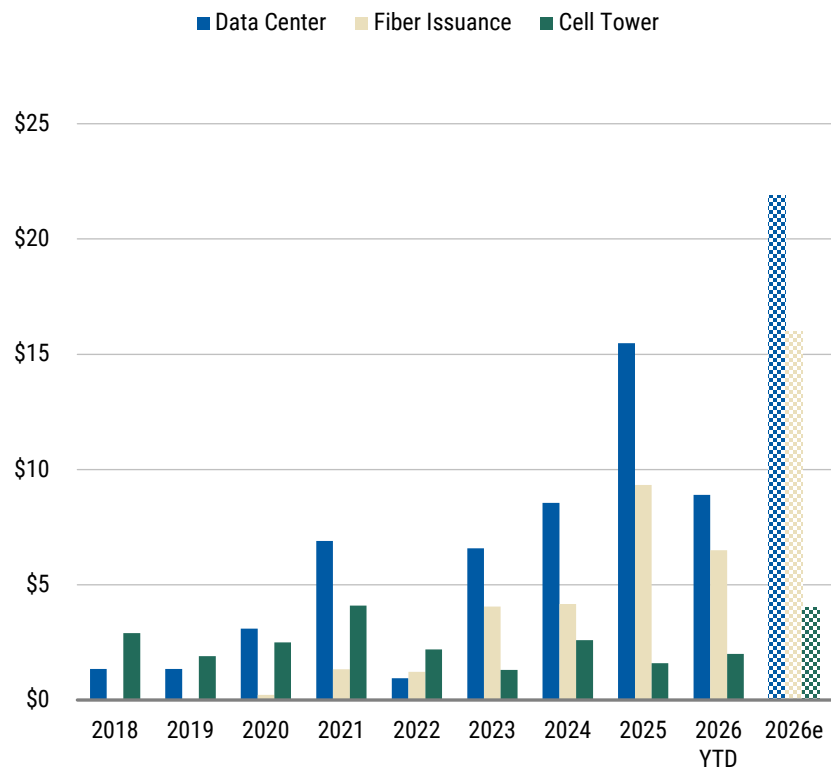


Source: TRACE, Morgan Stanley Research

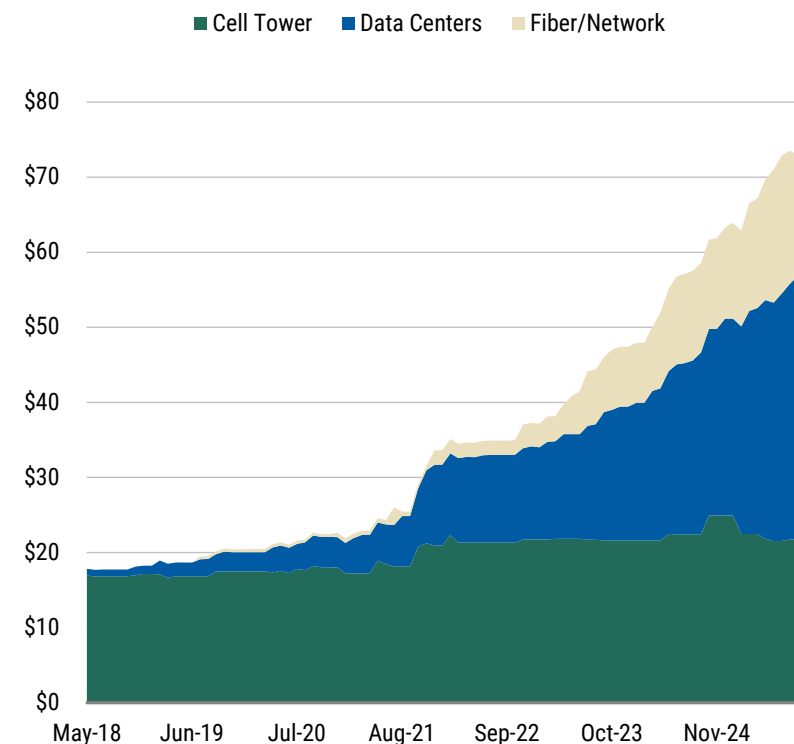
# Digital Infra ABS Gross Issuance Set to Reach Record Levels in 2026

We forecast ~\$40bn of digital infra supply this year with growth propelled by both data centers and fiber

## Digital Infrastructure Gross Issuance (\$bn)



## Digital Infrastructure Outstanding Balance (\$bn)

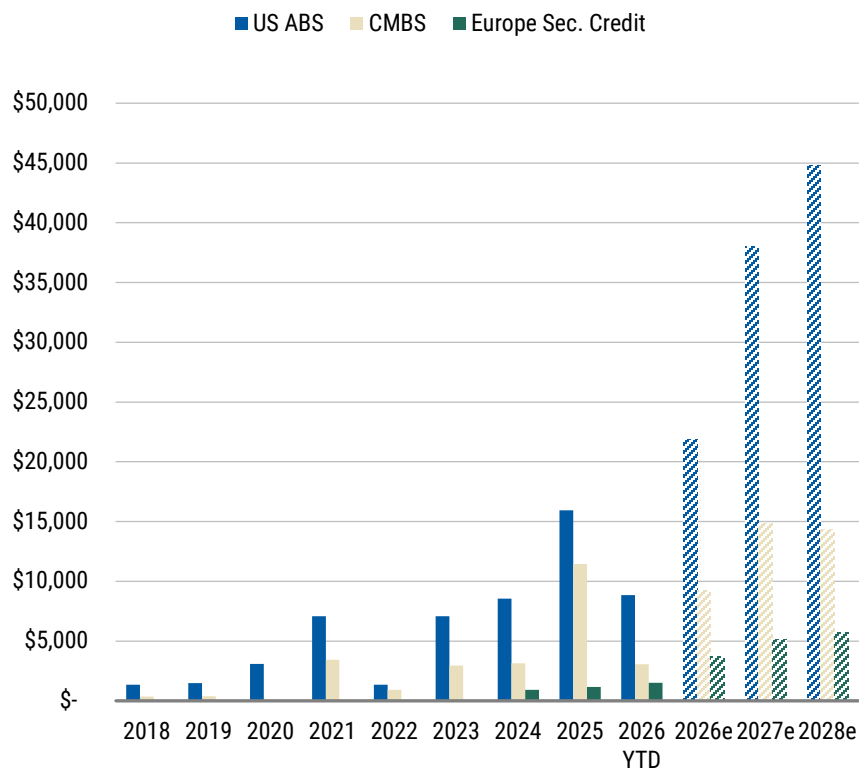


Source: Bloomberg, Intex, CreditFlow, Morgan Stanley Research

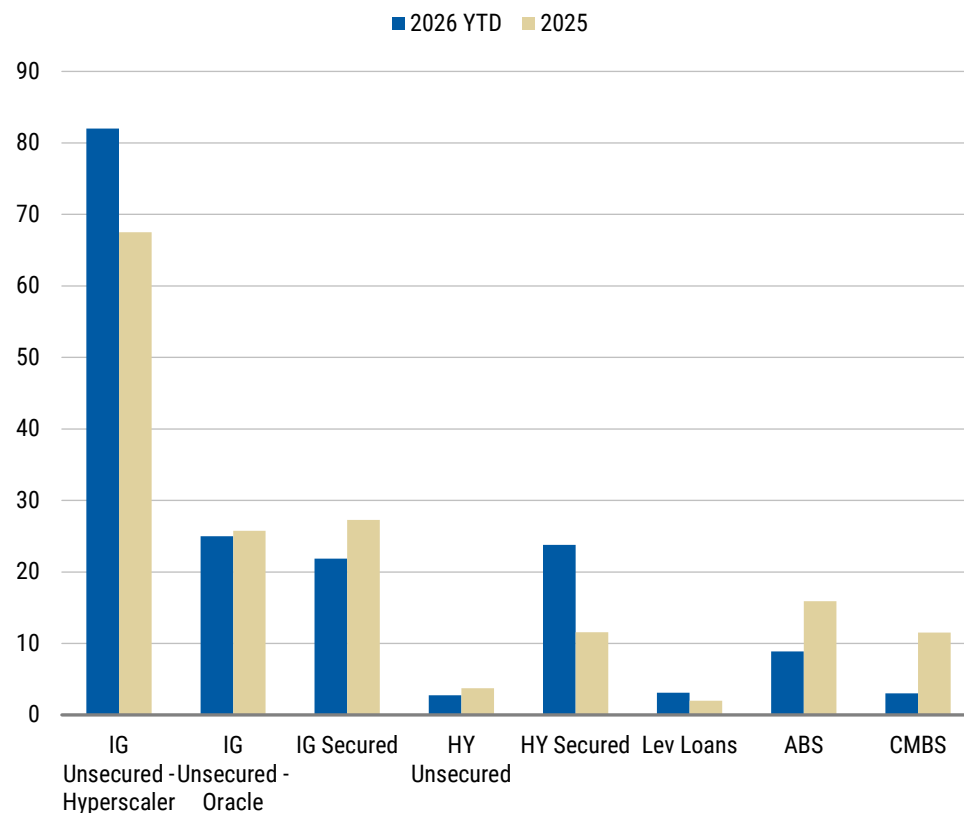
# Data Center & AI-Related Paper Experiencing Rapid Growth Across Fixed Income

Given the supply we expect technicals rather than fundamentals to drive price action

## Gross Issuance and Forecast, Data Center Securitized Credit (\$mm)



## AI-Related Gross Issuance (USD), \$bn

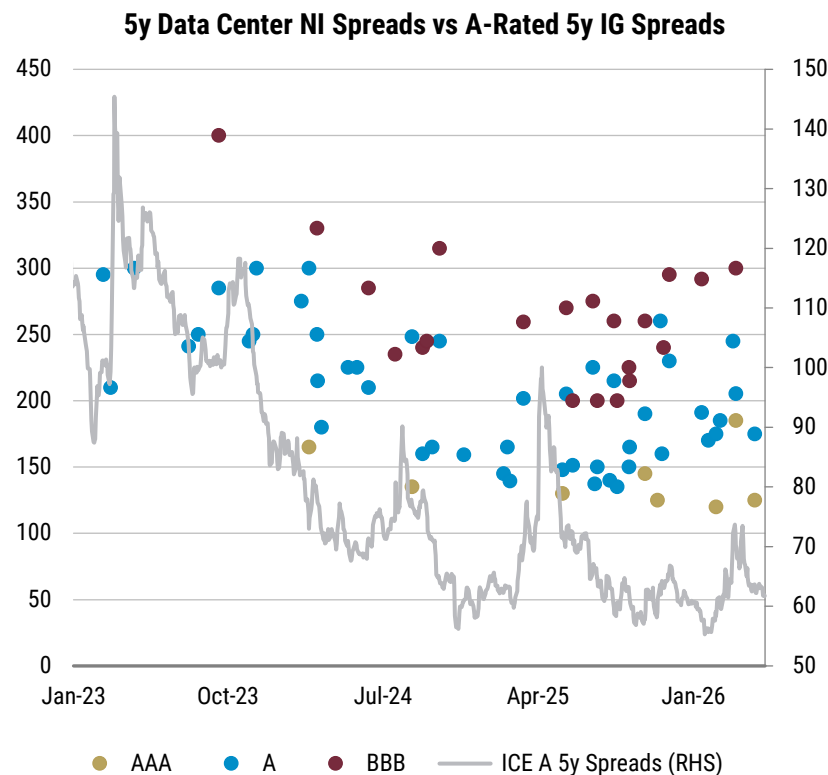


Source: Bloomberg, Intex, CreditFlow, Trepp, Pitchbook, Morgan Stanley Research estimates

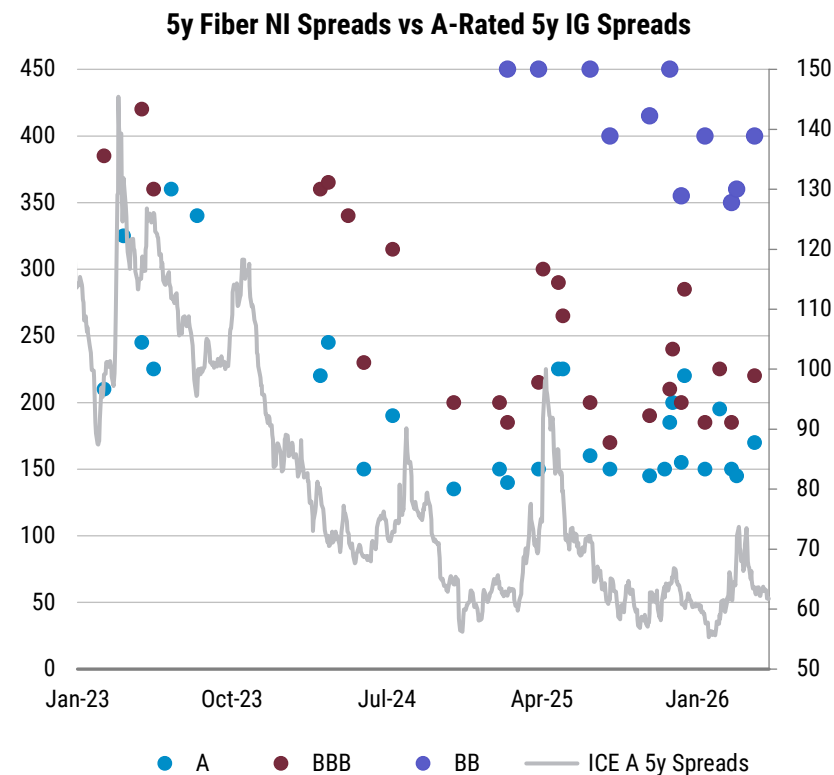
# We Like Going Down the Stack in Data Centers and Fiber

We think there is clear relative value in mezz tranches

**Data Center Spreads Have Seen Recent Sensitivity to Issuance Across Fixed Income**



**We See Value in Mezz Fiber ABS Given Strong Fundamental Backdrop**



Source: Bloomberg, CreditFlow, ICE, Morgan Stanley Research

## Disclosure Section

### **Mortgage Backed Securities (MBS) and Collateralized Mortgage Obligations (CMO)**

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(as of April 30, 2026)

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| Stock Rating Category    | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|--------------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                          | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| <b>Overweight/Buy</b>    | <b>1546</b>       | <b>42%</b> | <b>467</b>                       | <b>51%</b>     | <b>30%</b>           | <b>709</b>                                        | <b>44%</b>            |
| <b>Equal-weight/Hold</b> | <b>1568</b>       | <b>43%</b> | <b>358</b>                       | <b>39%</b>     | <b>23%</b>           | <b>715</b>                                        | <b>44%</b>            |
| <b>Not-Rated/Hold</b>    | <b>4</b>          | <b>0%</b>  | <b>0</b>                         | <b>0%</b>      | <b>0%</b>            | <b>1</b>                                          | <b>0%</b>             |
| <b>Underweight/Sell</b>  | <b>555</b>        | <b>15%</b> | <b>84</b>                        | <b>9%</b>      | <b>15%</b>           | <b>202</b>                                        | <b>12%</b>            |
| <b>Total</b>             | <b>3,673</b>      |            | <b>909</b>                       |                |                      | <b>1627</b>                                       |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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